

**Deloitte.**

**WILLIAMSON TEA KENYA LIMITED**

**REPORTS AND  
ANNUAL FINANCIAL STATEMENTS**

**FOR THE YEAR ENDED  
31 MARCH 2016**

WILLIAMSON TEA KENYA LIMITED

ANNUAL REPORTS AND FINANCIAL STATEMENTS  
FOR THE YEAR ENDED 31 MARCH 2016

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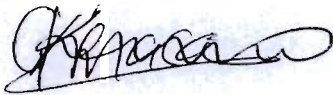
## **WILLIAMSON TEA KENYA LIMITED**

**NOTICE IS HEREBY GIVEN** that the Sixty Seventh ANNUAL GENERAL MEETING of the Shareholders will be held at the Nairobi Club, Ngong Road, on Thursday 14 July 2016 at 10.00 a.m for the following purpose:

### **Ordinary Business:**

- 1) To receive and adopt the report of the Directors together with the audited financial statements for the year ended 31 March 2016.
- 2) To declare a dividend.
- 3) To elect Directors:
  - i) In accordance with Article 108 of the Company's Articles of Association, Mr. Ezekiel N K Wanjama, retires by rotation and offers himself for re-election.
  - ii) In accordance with Article 108 of the Company's Articles of Association, Mr. Philip Magor retires by rotation and offers himself for re-election.
- 4) To approve the remuneration of the Directors.
- 5) To note that Deloitte & Touche continue in office and to authorise the Directors to agree their remuneration.
- 6) To transact such other business as may be brought before the meeting.

### **BY ORDER OF THE BOARD**



**GILBERT K MASAKI**

**SECRETARY**

Thursday June 9, 2016

A Member entitled to attend and vote at the Annual General Meeting is entitled to appoint another person as his/her proxy to attend and vote instead of him/her, and such proxy need not also be a member of the company.

A form of proxy is provided with this report which shareholders who do not propose to be at the Meeting are requested to complete and return to the registered office of the company so as to arrive not later than Twenty Four hours before the meeting.

# WILLIAMSON TEA KENYA LIMITED

## CORPORATE INFORMATION

### DIRECTORS

E N K Wanjama  
A L Carmichael\*  
S N Thumbi  
P Magor\*  
J P Brooks  
E C Magor \*  
M Koech

- Chairman  
- Managing Director  
- Farm Director

\* British

### BOARD COMMITTEES

Governance & Audit Committee M Koech – Chairman  
J P Brooks

Nominating Committee E N K Wanjama - Chairman  
A L Carmichael - Managing Director  
P Magor\* - Non Executive Director

Staff & Remuneration Committee E N K Wanjama - Chairman  
A L Carmichael\* - Managing Director  
P Magor \* - Non Executive Director

\* British

### SECRETARY

G K Masaki  
Certified Public Secretary (Kenya)  
P O Box 42281 - 00100  
Nairobi

### REGISTERED OFFICE

The Acacia Block, 2nd Floor,  
Karen Office Park, Langata Road  
P O Box 42281 - 00100  
Nairobi

### AUDITORS

Deloitte & Touche  
Certified Public Accountants (Kenya)  
Deloitte Place, Waiyaki Way, Muthangari  
P O Box 40092 - 00100  
Nairobi

### BANKERS

Barclays Bank of Kenya Limited  
Barclays Plaza Business Centre  
P O Box 46661 - 00100  
Nairobi

Standard Chartered Bank Kenya Limited  
Kenyatta Avenue Branch  
P O Box 40310 - 00100  
Nairobi

### LAWYERS

Kaplan & Stratton  
Williamson House, 9<sup>th</sup> Floor,  
4<sup>th</sup> Ngong Avenue  
P O Box 40111 - 00100  
Nairobi

Walker Kontos  
Hakika House  
Bishops Road  
P O Box 60680 - 00200  
Nairobi

# WILLIAMSON TEA KENYA LIMITED

## FINANCIAL HIGHLIGHTS

|                                       |          | 2016             | 2015             | 2014             | 2013             | 2012             |
|---------------------------------------|----------|------------------|------------------|------------------|------------------|------------------|
| <b>Tea Production</b>                 |          |                  |                  |                  |                  |                  |
| Area under tea                        | Hectare  | 2,127            | 2,112            | 2,129            | 2,151            | 2,142            |
| Made tea - own                        | '000 Kgs | 8,145            | 6,879            | 7,603            | 7,426            | 6,981            |
| - bought leaf                         | '000 Kgs | 8,301            | 6,925            | 8,365            | 9,059            | 7,966            |
| Total                                 | '000 Kgs | 16,446           | 13,804           | 15,968           | 16,485           | 14,947           |
| Tea sold                              | '000 Kgs | 15,057           | 13,762           | 16,314           | 14,931           | 15,298           |
| Average price per Kg gross Sh/Ct      |          | 222/37           | 184/68           | 211/59           | 230/19           | 214/87           |
| <b>Turnover (Sh'000)</b>              |          | <b>3,386,015</b> | <b>2,590,416</b> | <b>3,512,086</b> | <b>3,490,681</b> | <b>3,607,409</b> |
| <b>Profit (Sh'000)</b>                |          |                  |                  |                  |                  |                  |
| Profit/(loss) before taxation         |          | 940,445          | (295,894)        | 1,041,033        | 1,155,760        | 1,163,499        |
| Taxation charge/(credit)              |          | (202,236)        | 68,258           | (300,312)        | (300,101)        | (308,759)        |
| Profit/(loss) after taxation          |          | 738,209          | (227,636)        | 740,721          | 855,659          | 854,740          |
| <b>Attributable to:</b>               |          |                  |                  |                  |                  |                  |
| Non - controlling interests           |          | 32,404           | (19,529)         | 28,341           | 29,371           | 33,918           |
| Equity holders of the parent          |          | 705,805          | (208,107)        | 712,380          | 826,288          | 820,822          |
| Profit/(loss) for the year            |          | 738,209          | (227,636)        | 740,721          | 855,659          | 854,740          |
| <b>Capital employed (Sh'000)</b>      |          |                  |                  |                  |                  |                  |
| <b>Assets (Sh'000)</b>                |          |                  |                  |                  |                  |                  |
| Property, plant & equipment           |          | 2,010,403        | 2,182,475        | 1,794,297        | 1,720,640        | 1,480,897        |
| Investments and long term receivables |          | 1,152,003        | 1,052,572        | 1,006,201        | 954,845          | 874,238          |
| Biological assets                     |          | 2,774,565        | 2,574,062        | 3,019,259        | 2,663,985        | 2,440,869        |
| Current assets                        |          | 3,348,335        | 2,749,449        | 2,729,652        | 2,684,364        | 2,447,223        |
| Total assets                          |          | 9,285,306        | 8,558,558        | 8,549,409        | 8,023,834        | 7,243,227        |
| Medium and short term borrowings      |          | 205,766          | 231,265          | 180,291          | 6,033            | 91,082           |
| Service gratuity                      |          | 261,618          | 227,662          | 198,826          | 181,428          | 159,859          |
| Other current liabilities             |          | 616,423          | 276,492          | 322,353          | 732,586          | 932,086          |
| Deferred income taxes                 |          | 1,231,700        | 1,240,103        | 1,257,203        | 1,245,530        | 1,115,144        |
| Total liabilities                     |          | 2,315,507        | 1,975,522        | 1,958,673        | 2,165,577        | 2,298,171        |
| <b>Net assets</b>                     |          | <b>6,969,799</b> | <b>6,583,036</b> | <b>6,580,527</b> | <b>5,858,257</b> | <b>4,945,056</b> |
| <b>Financed by (Sh'000)</b>           |          |                  |                  |                  |                  |                  |
| Share capital                         |          | 87,563           | 43,782           | 43,782           | 43,782           | 43,782           |
| Reserves                              |          | 6,663,045        | 6,351,274        | 6,322,742        | 5,622,334        | 4,735,718        |
| Equity holders of parent company      |          | 6,750,608        | 6,395,056        | 6,366,524        | 5,666,116        | 4,779,500        |
| Non - controlling interest            |          | 219,191          | 187,980          | 214,003          | 192,141          | 165,556          |
|                                       |          | 6,969,799        | 6,583,036        | 6,580,527        | 5,858,257        | 4,945,056        |
| Earnings/(loss) per share             | Sh       | 40.30            | (11.88)          | 40.68            | 47.18            | 46.87            |
| Dividend per share                    | %        | 400              | 800              | 140              | 150              | 1150             |
| Dividend per share                    | Sh       | 20               | 40               | 7.00             | 7.50             | 57.50            |
| Dividend cover                        | Times    | 2.11             | (0.59)           | 11.62            | 12.58            | 1.63             |
| Closing exchange rates                | US \$    | 101.33           | 92.34            | 86.44            | 85.64            | 83.06            |
|                                       | UK £     | 145.31           | 136.45           | 143.81           | 129.61           | 132.75           |

# WILLIAMSON TEA KENYA LIMITED

## CHAIRMAN'S STATEMENT

### Results

The group reported a profit of Sh 738 million for the year. Please refer to pages 16 and 17 of the financial statements which detail the profit available for distribution through operational activities and the profit as a result of change in fair values of biological assets. Fair valuation of biological assets is performed annually to incorporate price changes and biological transformation as required by the International Financial Reporting Standards. The result of the annual revaluation change may be misleading to shareholders as it is included in the profit before tax figures but is not realizable for distribution and only represents an estimated book figure for accounting compliance.

### Our Farms

The year under review saw two very distinct weather patterns. A very dry beginning to 2015 calendar year carried on into the financial year. The dry spell gave way to extremely favourable weather for tea production which has continued up to the time of writing.

In most agricultural crops the prospects of a bumper harvest and a time of plenty is cause for celebration. This holds true for tea farmers as well but with one huge caveat. The bumper crop arrives with the sure knowledge that prices will rapidly decline. High crops assist, indeed are critical in controlling our costs, the large crops helping to offset fixed costs, but when consumer demand cannot keep up with high supply, tea prices fall.

Thus a high supply side has a very negative effect to demand and tea buyers globally are in a position to drive down prices when supply outstrips consumption. The opposite is true of course when the supply side is very low, tea prices improve, often substantially. None of this is new information, however is pertinent to understanding the year just passed. A year which began with lower crops but ended with a crop bonanza we witnessed wildly fluctuating prices.

At the beginning of the year we entered into a long term contract with the world's most dominant buyer, Unilever, with the price set at prevailing market rates, that is well before the onset of the dry spell. This price was rapidly outstripped by rising prices as the weather dried up. In all contracts whether short or long standing customers it is imperative to honour commitments, and accept that in some year's we gain in some years we lose. We duly honoured our contract but were unable to capitalize properly on better prices through to October 2015. By the time the contract was completed, very good weather for tea growth had intervened and prices fell sharply as supply increased. It is therefore in the very nature of business, perhaps particularly rain fed agriculture that risk is part of our lives.

We have since reviewed and reformed our view on how long a contract should last for. This has not been well received by our largest customer and thus we are seeking to slowly enter the auction system in the hope that more sales diversification may mitigate a little against violent price fluctuation. The auction system is not without its own risk, not least that invoices of tea can lie unsold in a warehouse for extended periods. In addition, we are aware that auction prices may be manipulated by buyers to provide lower private contract prices, the price at auction being an obvious benchmark for negotiation. The profit for the group at Sh 738 million is therefore highly commendable albeit mostly attributable to the increased crop for the year. The operational profit for the year at Sh 594 million compares with Sh 97 million last year.

The Group recorded a crop of 16.44 million kilos of made tea, an increase of some 19% against the year before. The 19% increase was broadly replicated by the Kenya crop which finished the calendar year, to end December 2015, some 10% ahead of the previous year and a record of over 457 million kilograms of tea. This increase amounts to 42 million kilograms of additional tea or perhaps in another context more in increase alone than the whole of the Malawi annual crop. This enormous increase on the supply side, carried over into record months at the start of 2016. Prices fell sharply each week as buyers exploited the glut of tea available on the market to soon reach ten year lows. Over \$1 per kilogram was wiped off the auction price. This resulted in very significant reductions to our cash flows all at a time we were hoping to consolidate and enjoy rather better prices following our Unilever commitment.

Our relationships with green leaf smallholders and their contribution as partners in achieving our annual crop is once again warmly recognized here. As a Group we value their contributions and work very hard to cement our partnerships and long term relationships. Our monthly payment system for green leaf has continued throughout the year but remains under review. Many farmers wish to return to a system that provides an initial payment and a bonus at some point in time. We are looking at our options that answer the needs of our smallholders and will prove equally efficient for your company. It is essential that payments are in line with market forces, and we would wish to reiterate that our ability to manage our farms and our cost does not extend to the price paid in the free market. We must balance the best possible tea being made with a realistic cost of production. This does require us to manufacture sufficient volumes of green leaf to keep our factories full. We have many years of experience understanding markets and that our marketing efforts and our abilities to know what the market wants are well established but subject to a fluctuating global price determined by the laws of supply and demand.

# **WILLIAMSON TEA KENYA LIMITED**

## **CHAIRMAN'S STATEMENT**

### **Our Farms (Continued)**

As a Group we take both our commercial activities and Corporate Social Responsibilities very seriously. We continue to be very actively engaged in securing our own source of firewood from our own gum plantations to enable us to operate our factories with the desired high volumes of green leaf purchased from smallholder farmers. The equation of firewood from sustainable sources to the amount of tea that can be produced from a factory is a critical aspect of sustainability and even growth for the whole of the industry. By the end of 2018, we hope to have secured sufficient areas on our own land to manage our factories responsibly with our own resources with no firewood having to be purchased from responsible and licensed sellers.

We have hundreds of indigenous flora thriving in our valleys and ravines and these contribute hugely to a rich diversity of animal and bird life. Our imperative is to conserve our water sources and our soil structures and protect and enrich the environment for next generations. The operation of our 1 Megawatt solar farm at Changoi for the past 2 years is a shining example of our investment and commitment to this critical philosophy and our commitment to the future.

Considerable work continues to go into managing our automated tea harvesting. Every year we seek to improve the ease and efficiency of plucking and although this is sometimes a protracted goal we have continuously improved our quality over the past 5 years and believe in the next 5 years we will see further gains. Our workforce is fully trained to operate sophisticated machinery, and the benefits of improved productivity are theirs as well as better leaf quality. We have further invested in better sorting of green leaf and continue to try and encourage the manufacturers of the harvesters to provide us with lighter but sturdier equipment. Tea is not at the cutting edge of the investment plans for many, but we remain committed to try and influence equipment design and decisions from our suppliers

We would wish to emphasize once again that our workforce, our staff and our management, our human capital, remains our most prized asset. We retain our clear commitment to progress, to generate and motivate a highly skilled workforce and industrialize in line with Kenya Vision 2030 to secure long term sustainability for the Group.

We continue to add value by planting new tea varieties. These varieties add diversification to our products and will, over time, add to our production strength as they replace older, lower yielding teas. In addition, we remain in a partnership with other farmers investigating new varieties that may assist us in combating climate change in the years to come.

### **Markets**

Our customer base remains strong and the Group policy of selling to secure markets with few credit risks ensures that not only does the Group receive payment for its teas but also provides more security for the thousands of smallholders who now rely upon us. Our investment in Rainforest Alliance and UTZ accreditation has been supported by all our smallholders being accredited, and it remains true that a healthy percentage of our sales are as a direct result of investing in and adhering to good practice and the accreditation that follows this. We have also, as mentioned last year returned to Fairtrade accreditation. This provides revenue for our workers and smallholders should tea be retailed as Fairtrade tea. The accreditation comes at a cost not least with having to repair and secure the very unsatisfactory end of our last involvement with the Fairtrade organization. There have been sufficient requests made by our customers who wish to buy our teas to suggest it is a strong investment and with weak market sentiment we look forward to those buyers supporting our teas once again.

Prices have been very volatile through the year as low crops were followed by high crops ending the year with large unsold tea stocks from ourselves and the trade in general within Kenya providing buyers with the unwelcome luxury of too much tea. By February there has been no rush to purchase with the secure knowledge of large amounts of tea available to select.

The aforementioned unpredictability of the weather and its effect on our crop volumes means we will always have elements which are uncontrollable. We believe that long term customer relationships and commitments to honour these relationships through good and bad times mitigates to an extent against market volatility.

# **WILLIAMSON TEA KENYA LIMITED**

## **CHAIRMAN'S STATEMENT (Continued)**

### **Markets (Continued)**

We will always seek new and reliable markets and are keen to expand our green tea reach by investigating new customer requirements and exploring methods of providing those customers with the variety and type of tea they wish for. We continue to say it, for weather, climate, soils and work force commitment. Kenya is the best place to grow and manufacture tea. With costs increasing across many areas, our ability to adequately invest is tempered by prudent financial management but new machinery continues to be installed and the new planting from uprooted sections provide more than a nod to a sustainable future.

Finding the correct path to satisfy you, the shareholder, our smallholders and also having sufficient funds to expand capacities and invest in more solar power and other renewable energy schemes is a clear goal, but one that carries many challenges. Patience is often required.

### **Market Outlook**

With very high crops and therefore much more tea available to buyers throughout Kenya, we can expect to see weak prices for a period of time as we go through our new financial year. For your Group, we will look at different options to market and sell our teas not just privately but with the intention with the right teas at the right time into the Mombasa auction when markets strengthen.

It is very important to continue to look longer term, certainly beyond the next six months, as we look to be as secure as we can be in an unpredictable market place. We will continue to invest and diversify and have set aside a small area for the production of organic tea. We are looking at different and more innovative ways to sell our factory door packets and also continuing to invest in our green tea and orthodox production.

Further industrial action from union leaders can never be ruled out. However, we trust our commitment to dialogue, fairness and good practice will assist in overcoming difficult issues. The new CBA that should have been negotiated and completed two years ago remains now in court. A ruling promised on rates at the beginning of June did not materialize and therefore still awaiting settlement. I would wish to thank our workforce for their forbearance and patience whilst the process drags on.

### **General Outlook**

As stated last year although the arrival of the new Constitution was welcomed in August 2010, it is now nearly 6 years old now and we still await confirmation on the outcome of our Freehold titles and 999 year land leases. The legal advice remains very clear that, with effect from 28th August 2010, all our land titles were converted into 99 year leases without compensation. However county governments have aggressively stated that your land will be handed back to communities when leases expire. National government and the NLC have not stated this but the period of indecision goes on and is a very considerable risk to your investment.

If your land was handed over to communities, not only will a precedent over land holding within Kenya have been set, but also the most vibrant and successful industry in Kenya will have been holed below the waterline, taking away thousands of existing directly and indirectly held jobs, and removing vast amounts of foreign exchange and tax revenues from the national government. The national and international legal complexities would be large.

We anxiously await Government confirmation on the commencement dates for the 99 year leases and I would urge each one of you as stakeholders to actively lobby for your rights wherever possible.

The cost of conducting business in Kenya continues to rise. In addition to the cost increases outlined, in particular the unknown percentage increase on wages, we wait to see the true impact of tax rise proposals by new County Governments, and the new Agricultural and Fisheries board. We trust and are confident that prudence and good governance and sense will prevail. We continue to lobby through the good offices of the East African Tea Trade Association against the Ad Valorem tax on the value of tea sold levied by the Tea Board of Kenya, in February 2012. We have, through our memberships of the Kenya Tea Growers Association (KTGA) and East African Tea Trade Association (EATTA), very hard working and transparent associations who lobby and articulate matters of concern to relevant bodies and decision makers. The increasing demands on tea farmers from all quarters is a considerable drain on management time and we much appreciate their efforts on our behalf.

## WILLIAMSON TEA KENYA LIMITED

### CHAIRMAN'S STATEMENT (Continued)

#### Dividends

In view of the results, the Directors are recommending a final dividend payment of Sh 20 per share. Following the release of bonus shares last year this represents the same distribution to shareholders.

#### Corporate Social Responsibility

The Group continues to embrace social enhancing ethics, food safety standards and sustainable agricultural practices. The Group is still certified by ISO 2200:2005, Rainforest Alliance and UTZ.

The various farm activities covered in the year are detailed in our website <http://williamson-tea.blogspot.co.uk/>. The activities include building school classrooms, administration blocks, bursaries, and providing surrounding communities with water.

#### Health and Education

The Group continues to provide extensive medical services to the employees with 5 Health Clinics and actively participates in the various Doctors' schemes including visiting Doctor Services and HIV/AIDS prevention programs. Contribution has also been given in the form of equipment to hospitals which treat some of our workers and the surrounding communities. Treated water and distribution to communities is high on the agenda.

Through the Kenya Tea Growers Association, the Group continues to support the running and development of various sponsored Primary and Secondary Schools in Kericho and Nandi counties. We continue to operate several crèches, 4 Primary Schools and 1 Secondary School together with bursary schemes for gifted students proceeding to Secondary education.

In addition, the Williamson Tea Foundation will be used to contribute even more to our workers and our neighboring communities.

#### Welfare

The number of permanent and seasonal employees exceeded 3,008 with over 14,670 of their dependents who also benefit from the social and welfare amenities provided.

During the year, the Group spent over Sh 130 million on employees' pension, gratuities, leave and medical expenses over and above employees' direct wages. In addition, the Group incurred in excess of Sh 5 million on capital projects relating to employees welfare.

#### Appreciation

I would like to thank all our management staff led by the Managing Director, Mr. Alan Carmichael and Mr. Samuel Thumbi, our Visiting Agent, and the Farm leadership of Ishmael Sang, Sospeter Angira and Charles Agui at Changoi, Kaimosi and Tinderet respectively. My thanks also go to our Nairobi Head Office staff together with the team at Williamson Power Limited.

Last but not least, I would like to thank my fellow Directors for their valuable contribution and advice.



E N K WANJAMA

CHAIRMAN

9th June 2016

## **WILLIAMSON TEA KENYA LIMITED**

### **STATEMENT OF CORPORATE GOVERNANCE**

Corporate Governance is the process and structure used to direct and manage business affairs of the Company towards enhancing prosperity and corporate accounting with the ultimate objective of realizing shareholders long-term value while taking into account the interest of other stakeholders.

The Group is compliant in all areas of the corporate governance guidelines save for fact of the audit committee being composed of only two independent directors. The Chairman is a non-executive independent director. The desirability of increasing the composition of audit committee members is currently under consideration.

#### **BOARD OF DIRECTORS**

The Board consists of seven directors, five of whom are non-executive Directors including the Chairman. Among the non-executive directors are three independent Directors. All the non-executive Directors are subject to retirement by rotation and must seek re-election by shareholders at least once every three years in accordance with the Articles of Association.

The composition of the Board is set with the aim of having a Board with an appropriate balance of skills and experience to support the Company's strategy and to lead the Company effectively.

There's a clear division of responsibility between the Chairman and the Managing Director. The Chairman is responsible for the leadership of the Board ensuring its effectiveness; and he sees that they are given appropriate and timely information to enable them to properly discharge their responsibilities. He also ensures effective communication with shareholders and facilitates relations between the different Board Members. The Managing Director is responsible for the day-to-day management of the Company and the execution of the strategy agreed by the Board.

The Board is responsible for formulating policies and strategies and ensuring that the business objectives aimed at promoting and protecting the shareholders value while taking into account the interest of other stakeholders, are achieved. The Board ensures that procedures and practices are set in place to ensure effective control over strategic, financial, operational and compliance issues. The Board meets to review annual budget and half-year and annual accounts and to monitor operational performance. The Directors are given appropriate and timely information to enable them to maintain full and effective control. Except for direction and guidance on general policy, the Board has delegated authority for conduct of the day-to-day business to the Managing Director assisted by a team of able managerial staff.

The full Board meets at least once every quarter for scheduled meetings and on other occasions as required for consideration of exceptional matters. A timetable of calendar dates for Board meetings to be held during the year is circulated in advance to the Board. The notice of board meetings is distributed together with the agenda and Board papers to all Directors before hand.

The Company Secretary is always available to the Board of Directors and is a member of both the Institute of Certified Public Accountant of Kenya (ICPAK) and Institute of Certified Public Secretaries of Kenya (ICPSK). The Head of finance is also a member of the Institute of certified Public Accountant (ICPAK).

#### **BOARD REMUNERATION**

Non-executive Directors are paid an annual fee together with a sitting allowance for every meeting attended. The aggregate amount of emoluments paid to Directors for services rendered during the financial year are disclosed in note 7 to the financial statements.

#### **DIRECTORS' SHAREHOLDING**

None of the Directors as at end of the year March 2016 held shares in their individual capacity that were more than 2% of the company's total equity (2015: None). The directors' interest in the shares of the Company as at 31 March 2016 is summarised below:

| <b>Name</b>   | <b>Number of Shares</b> |
|---------------|-------------------------|
| E N K Wanjama | 200<br>=====            |

## **WILLIAMSON TEA KENYA LIMITED**

### **STATEMENT OF CORPORATE GOVERNANCE (Continued)**

#### **COMMITTEES OF THE BOARD**

The Board has three standing committees, which meet under the terms of reference set by the Board.

##### **Governance and Audit committee**

The Governance and Audit Committee was constituted by the Board in 1998 and comprises two non-executive Directors and professionals. The committee meets at least four times in the year.

The responsibilities of the committee include:

- All areas of corporate governance, with specific reference to issues of risk management;
- Review of interim and annual financial statements to ensure compliance with disclosure requirements;
- Maintenance and review of Group's system of accounting and internal controls;
- Liasing with external auditors of the group.

Every year, the committee visits each of the Group's farms for a full day. In addition, the committee meets with the external auditors once every year and other times when deemed necessary.

##### **Nominating committee**

The Board of the Group has a nominating committee consisting of independent and non-executive Directors. This committee is responsible for proposing new nominees for the Board and for assessing the performance and effectiveness of all the Directors.

##### **Staff and remuneration committee**

There is a staff and remuneration committee consisting entirely on non-executive Directors. The committee is responsible for the remuneration and incentives for the Board and the senior management and for the structure of remuneration packages and submits its recommendations to the Board.

#### **INTERNAL CONTROLS**

The Board is responsible for the Group's system of internal controls and for reviewing their effectiveness. The Group has defined procedures and financial controls to ensure the reporting of complete and accurate accounting information.

The systems in place are designed to ensure that authority is obtained for any major transaction and that the company complies with all Kenyan laws and regulations, including those that govern sound financial management. Procedures are in place to ensure that all assets are subject to proper physical controls and these are professionally re-valued every three years.

The Group's internal auditor reviews policy, systems and procedures on a regular basis and reports to the Managing Director and the Audit Committee.

##### **Communication with shareholders**

The Group is committed to ensuring that there's open and good communication with investors through the Annual General Meeting, distribution of the Group's annual report and the release of notices of its half yearly and annual results in the press and the Company website: [www.williamsontea.com](http://www.williamsontea.com).

# WILLIAMSON TEA KENYA LIMITED

## STATEMENT OF CORPORATE GOVERNANCE (Continued)

### SHAREHOLDING PROFILES

The company through its registrar, files returns regularly in line with Capital Markets Authority and the Nairobi Securities Exchange under the listing regulations on transactions related to shareholders.

#### Principal shareholders

As at 31 March 2016 the top 10 major shareholders were as follows;

|     | Name                                            | Location | No of shares | %     |
|-----|-------------------------------------------------|----------|--------------|-------|
| 1.  | Ngong Tea Holdings Limited                      | London   | 9,012,328    | 51.46 |
| 2.  | Upstream Investments Limited                    | Nairobi  | 646,346      | 3.71  |
| 3.  | Kirtesh P. Shah                                 | Nairobi  | 513,242      | 2.96  |
| 4.  | Amarjeet Baloonhai Chhotabhai Patel & B C Patel | Nairobi  | 458,158      | 2.62  |
| 5.  | Galot International Ltd                         | Nairobi  | 449,300      | 2.57  |
| 6.  | Standard Chartered Nominees Ltd A/C 9280 NR     | Nairobi  | 345,400      | 1.97  |
| 7.  | AAKS Nominees Ltd A/C 2012                      | Nairobi  | 333,600      | 1.90  |
| 8.  | Standard Chartered Nominees Ltd A/C KE 002335   | Nairobi  | 191,400      | 1.09  |
| 9.  | Rakesh Prakash Gadani                           | Nairobi  | 171,200      | 0.98  |
| 10. | Phoenix of E.A. Assurance Co Ltd                | Nairobi  | 169,712      | 0.97  |
|     |                                                 |          | =====        | ===== |

#### Analysis of shareholders

##### By region:

| Region                                           | Number | Shares held | %      |
|--------------------------------------------------|--------|-------------|--------|
| Foreign shareholders                             | 82     | 10,136,512  | 57.88  |
| Local & East Africa shareholders (Individuals)   | 1,220  | 4,817,074   | 27.51  |
| Local & East Africa shareholders (Institutional) | 79     | 2,559,054   | 14.61  |
|                                                  | =====  | =====       | =====  |
|                                                  | 1,381  | 17,512,640  | 100.00 |
|                                                  | =====  | =====       | =====  |

##### By shares distribution:

|                   |       |            |        |
|-------------------|-------|------------|--------|
| Less than 501     | 441   | 104,322    | 0.60   |
| 501-10,000        | 837   | 1,895,598  | 10.82  |
| 10,001- 100,000   | 87    | 2,468,450  | 14.10  |
| 100,001-1,000,000 | 15    | 4,031,942  | 23.02  |
| Above 1,000,000   | 1     | 9,012,328  | 51.46  |
|                   | ===== | =====      | =====  |
|                   | 1,381 | 17,512,640 | 100.00 |
|                   | ===== | =====      | =====  |



Director



Director

# WILLIAMSON TEA KENYA LIMITED

## REPORT OF THE DIRECTORS

The directors present their report together with the audited financial statements of Williamson Tea Kenya Limited (the "Company") and its subsidiaries (together the "Group") for the year ended 31 March 2016 which show the state of financial affairs of the Group and the Company.

### ACTIVITIES

The principal activities of the Group are the cultivation, manufacture and sale of tea, investment in property and the sale and servicing of generators.

### GROUP RESULTS FOR THE YEAR

|                               | 2016<br>Sh'000 | 2015<br>Sh'000 |
|-------------------------------|----------------|----------------|
| Profit/(loss) before taxation | 940,445        | (295,894)      |
| Taxation (charge)/credit      | (202,236)      | 68,258         |
|                               | <hr/>          | <hr/>          |
| Profit/(loss) for the year    | 738,209        | (227,636)      |
|                               | <hr/>          | <hr/>          |
| Attributable to:              |                |                |
| Owners of the company         | 705,805        | (208,107)      |
| Non-controlling interests     | 32,404         | (19,529)       |
|                               | <hr/>          | <hr/>          |
| Profit/(loss) for the year    | 738,209        | (227,636)      |
|                               | <hr/>          | <hr/>          |

### DIVIDENDS

The Directors recommend that a first and final dividend of Sh 20 per share (2015 – Sh 40) equivalent to a total sum of Sh 350,252,800 (2015 – Sh 350,252,800) be paid to the shareholders. The dividend is subject to approval by the shareholders at the next Annual General Meeting.

### DIRECTORS

The current board of directors is shown on page 3.

### AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with the provisions of section 159 (2) of the Kenyan Companies Act.

### BY ORDER OF THE BOARD



Secretary

9th June 2016

Nairobi

## WILLIAMSON TEA KENYA LIMITED

### STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the Group and of the company as at the end of the financial year and of the operating results of the Group for that year. It also requires the directors to ensure that the company and its subsidiaries keep proper accounting records which disclose with reasonable accuracy at any time the financial position of the Group and the company. They are also responsible for safeguarding the assets of the Group.

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as the directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and of the company and of the Group's operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company and its subsidiaries will not remain a going concern for at least the next twelve months from the date of this statement.



Director



Director

9th June

2016

## INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF WILLIAMSON TEA KENYA LIMITED

### Report on the Financial Statements

We have audited the accompanying consolidated financial statements of Williamson Tea Kenya Limited (the "company") and its subsidiaries (together the "Group"), set out on pages 16 to 70, which comprise the consolidated and company statements of financial position as at 31 March 2016, and the consolidated statement of profit or loss and other comprehensive income, consolidated and company statements of changes in equity and consolidated statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

### *Directors' Responsibility for the Financial Statements*

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as the directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

### *Auditors' Responsibility*

Our responsibility is to express an independent opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the Group's preparation of financial statements that give a true and fair view in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

### *Opinion*

In our opinion, the accompanying consolidated financial statements give a true and fair view of the financial position of the company and its subsidiaries as at 31 March 2016 and of the Group's profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

**INDEPENDENT AUDITORS' REPORT  
TO THE MEMBERS OF WILLIAMSON TEA KENYA LIMITED (Continued)**

**Report on Other Legal Requirements**

As required by the Kenyan Companies Act, we report to you, based on our audit, that:

- (i) we have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit;
- (ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
- (iii) the company's statement of financial position (balance sheet) is in agreement with the books of account.

*The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Fredrick Okwiri - P/No P/1699.*

**Dabitte S. Tunga**

**Certified Public Accountants (Kenya)  
Nairobi, Kenya**

**9 June 2016**

WILLIAMSON TEA KENYA LIMITED

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE  
INCOME FOR THE YEAR ENDED 31 MARCH 2016

|                                                                                                       | Note | 2016<br>Sh' 000 | 2015<br>Sh' 000 |
|-------------------------------------------------------------------------------------------------------|------|-----------------|-----------------|
| TURNOVER                                                                                              | 4(e) | 3,386,015       | 2,590,416       |
| FAIR VALUE CHANGES                                                                                    |      |                 |                 |
| -Tea bushes                                                                                           | 20   | 134,127         | (482,392)       |
| -Timber trees                                                                                         | 20   | 5,214           | (4,399)         |
| - Firewood                                                                                            | 20   | 34,705          | 15,109          |
|                                                                                                       |      | <hr/>           | <hr/>           |
|                                                                                                       |      | 3,560,061       | 2,118,734       |
| COST OF SALES                                                                                         |      | (2,395,072)     | (2,109,391)     |
|                                                                                                       |      | <hr/>           | <hr/>           |
| GROSS PROFIT                                                                                          |      | 1,164,989       | 9,343           |
| Other income                                                                                          | 5    | 20,201          | 29,575          |
| Distribution costs                                                                                    |      | (319,374)       | (273,645)       |
| Administrative expenses                                                                               |      | (151,991)       | (133,441)       |
| Finance income                                                                                        | 6    | 101,963         | 90,370          |
| Finance costs                                                                                         | 6    | (19,689)        | (19,825)        |
| Net foreign exchange gains                                                                            |      | 51,649          | 10,742          |
| Share of results of associate company                                                                 | 17   | 92,697          | (9,013)         |
|                                                                                                       |      | <hr/>           | <hr/>           |
| PROFIT/(LOSS) BEFORE TAXATION                                                                         | 7    | 940,445         | (295,894)       |
| TAXATION (CHARGE)/CREDIT                                                                              | 9    | (202,236)       | 68,258          |
|                                                                                                       |      | <hr/>           | <hr/>           |
| PROFIT/(LOSS) FOR THE YEAR                                                                            | 10   | 738,209         | (227,636)       |
|                                                                                                       |      | <hr/>           | <hr/>           |
| COMPRISING:                                                                                           |      |                 |                 |
| <i>Attributable to the equity holders of the company:</i>                                             |      |                 |                 |
| Profit arising from operating activities                                                              |      | 594,607         | 97,298          |
| Gain/(loss) arising from changes in fair value of<br>biological assets (net of attributable taxation) |      | 111,198         | (305,405)       |
|                                                                                                       |      | <hr/>           | <hr/>           |
|                                                                                                       |      | 705,805         | (208,107)       |
|                                                                                                       |      | <hr/>           | <hr/>           |
| <i>Non - controlling interests:</i>                                                                   |      |                 |                 |
| Profit arising from operating activities                                                              | 26   | 21,770          | 3,141           |
| Gain/(loss) arising from changes in fair value of biological assets<br>(net of attributable taxation) | 26   | 10,634          | (22,670)        |
|                                                                                                       |      | <hr/>           | <hr/>           |
|                                                                                                       |      | 32,404          | (19,529)        |
|                                                                                                       |      | <hr/>           | <hr/>           |
| PROFIT/(LOSS) FOR THE YEAR                                                                            |      | 738,209         | (227,636)       |
|                                                                                                       |      | <hr/>           | <hr/>           |

WILLIAMSON TEA KENYA LIMITED

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 MARCH 2016 (Continued)

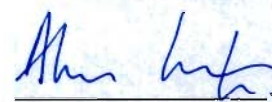
|                                                                          | Note | 2016<br>Sh' 000 | 2015<br>Sh' 000 |
|--------------------------------------------------------------------------|------|-----------------|-----------------|
| PROFIT/(LOSS) FOR THE YEAR                                               |      | 738,209         | (227,636)       |
| OTHER COMPREHENSIVE INCOME                                               |      |                 |                 |
| <i>Items that may not be reclassified subsequently to profit or loss</i> |      |                 |                 |
| Surplus on revaluation of property and equipment                         |      | -               | 375,118         |
| Deferred tax on revaluation surplus                                      | 27   | -               | (112,535)       |
| Share of gain on property revaluation of associate                       | 17   | -               | 35,350          |
| TOTAL OTHER COMPREHENSIVE INCOME                                         |      | -               | 297,933         |
| TOTAL COMPREHENSIVE INCOME FOR THE YEAR                                  |      | 738,209         | 70,297          |
| PROFIT/(LOSS) FOR THE YEAR ATTRIBUTABLE TO:                              |      |                 |                 |
| Equity holders of the company                                            |      | 705,805         | (208,107)       |
| Non - controlling interests                                              | 26   | 32,404          | (19,529)        |
|                                                                          |      | 738,209         | (227,636)       |
| TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO:                              |      |                 |                 |
| Equity holders of the company                                            |      | 705,805         | 89,826          |
| Non - controlling interests                                              | 26   | 32,404          | (19,529)        |
|                                                                          |      | 738,209         | 70,297          |
| EARNINGS/(LOSS) PER SHARE - Basic and diluted                            | 11   | 40.30           | (11.88)         |

WILLIAMSON TEA KENYA LIMITED  
CONSOLIDATED STATEMENT OF FINANCIAL POSITION  
AS AT 31 MARCH 2016

|                                              | Note  | 2016<br>Sh'000   | 2015<br>Sh'000   |
|----------------------------------------------|-------|------------------|------------------|
| <b>ASSETS</b>                                |       |                  |                  |
| <b>Non- current assets</b>                   |       |                  |                  |
| Property, plant and equipment                | 13    | 2,010,403        | 2,182,475        |
| Intangible assets                            | 14    | 4,362            | 4,807            |
| Prepaid operating leases                     | 15    | 76,542           | 76,626           |
| Investment properties                        | 16    | 420,000          | 405,000          |
| Investment in associate companies            | 17    | 649,750          | 564,790          |
| Unquoted investments                         | 19    | 1,349            | 1,349            |
| Biological assets                            | 20    | 2,774,565        | 2,574,062        |
|                                              |       | <hr/>            | <hr/>            |
|                                              |       | 5,936,971        | 5,809,109        |
| <b>Current assets</b>                        |       |                  |                  |
| Inventories                                  | 21    | 758,811          | 452,372          |
| Trade and other receivables                  | 22    | 1,287,562        | 1,142,542        |
| Due from associate company                   | 23(a) | 12,720           | -                |
| Corporate tax recoverable                    | 9(c)  | 47,625           | 161,175          |
| Short term deposits                          | 24    | 775,331          | 658,776          |
| Cash and bank balances                       | 32(c) | 466,286          | 334,584          |
|                                              |       | <hr/>            | <hr/>            |
|                                              |       | 3,348,335        | 2,749,449        |
|                                              |       | <hr/>            | <hr/>            |
| <b>Total assets</b>                          |       | <u>9,285,306</u> | <u>8,558,558</u> |
| <b>EQUITY AND LIABILITIES</b>                |       |                  |                  |
| <b>Capital and reserves</b>                  |       |                  |                  |
| Share capital                                | 25    | 87,563           | 43,782           |
| Revaluation surplus                          |       | 797,676          | 832,721          |
| Retained earnings                            |       | 5,865,369        | 5,518,553        |
|                                              |       | <hr/>            | <hr/>            |
| Equity attributable to owners of the company |       | 6,750,608        | 6,395,056        |
| Non – controlling interests                  | 26    | 219,191          | 187,980          |
|                                              |       | <hr/>            | <hr/>            |
| <b>Total equity</b>                          |       | <u>6,969,799</u> | <u>6,583,036</u> |
| <b>Non- current liabilities</b>              |       |                  |                  |
| Deferred tax liability                       | 27    | 1,231,700        | 1,240,103        |
| Service gratuity provision                   | 28    | 261,618          | 227,662          |
| Borrowings                                   | 29    | 140,023          | 187,493          |
|                                              |       | <hr/>            | <hr/>            |
|                                              |       | 1,633,341        | 1,655,258        |
| <b>Current liabilities</b>                   |       |                  |                  |
| Trade and other payables                     | 30    | 542,913          | 265,813          |
| Due to associate company                     | 23(d) | -                | 6,371            |
| Borrowings                                   | 29    | 65,743           | 43,772           |
| Corporate tax payable                        | 9(c)  | 73,510           | -                |
| Unclaimed dividends                          | 31    | -                | 4,308            |
|                                              |       | <hr/>            | <hr/>            |
|                                              |       | 682,166          | 320,264          |
|                                              |       | <hr/>            | <hr/>            |
|                                              |       | <u>9,285,306</u> | <u>8,558,558</u> |

The financial statements on pages 16 to 70 were approved and authorised for issue by the board of directors on June 2016 and were signed on its behalf by:

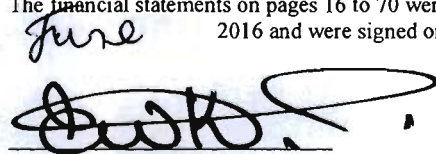
  
Director

  
Director

WILLIAMSON TEA KENYA LIMITED  
COMPANY STATEMENT OF FINANCIAL POSITION  
AS AT 31 MARCH 2016

|                                     | Note  | 2016<br>Sh'000   | 2015<br>Sh'000   |
|-------------------------------------|-------|------------------|------------------|
| <b>ASSETS</b>                       |       |                  |                  |
| <b>Non- current assets</b>          |       |                  |                  |
| Property, plant and equipment       | 13    | 1,223,563        | 1,313,400        |
| Intangible assets                   | 14    | 1,870            | 2,718            |
| Prepaid operating leases            | 15    | 11,720           | 11,733           |
| Investment properties               | 16    | 420,000          | 405,000          |
| Investment in associate company     | 17    | 49,479           | 49,479           |
| Investment in subsidiary companies  | 18    | 109,877          | 109,877          |
| Unquoted investments                | 19    | 546              | 546              |
| Biological assets                   | 20    | 1,154,346        | 1,003,830        |
|                                     |       | <hr/>            | <hr/>            |
|                                     |       | 2,971,401        | 2,896,583        |
| <b>Current assets</b>               |       |                  |                  |
| Inventories                         | 21    | 256,255          | 202,907          |
| Trade and other receivables         | 22    | 536,463          | 479,635          |
| Due from associate company          | 23(a) | 12,661           | 9,414            |
| Due from subsidiary companies       | 23(b) | 92,142           | 100,812          |
| Loans to subsidiary companies       | 23(c) | -                | 107,000          |
| Corporate tax recoverable           | 9(c)  | 44,079           | 96,526           |
| Short term deposits                 | 24    | 753,743          | 658,776          |
| Cash and bank balances              |       | 264,880          | 256,467          |
|                                     |       | <hr/>            | <hr/>            |
|                                     |       | 1,960,223        | 1,911,537        |
|                                     |       | <hr/>            | <hr/>            |
| <b>Total assets</b>                 |       | <u>4,931,624</u> | <u>4,808,120</u> |
| <b>EQUITY AND LIABILITIES</b>       |       |                  |                  |
| <b>Capital and reserves</b>         |       |                  |                  |
| Share capital                       | 25    | 87,563           | 43,782           |
| Revaluation surplus                 |       | 476,146          | 486,195          |
| Retained earnings                   |       | 3,228,416        | 3,218,249        |
|                                     |       | <hr/>            | <hr/>            |
| <b>Shareholders' funds</b>          |       | 3,792,125        | 3,748,226        |
| <b>Non- current liabilities</b>     |       |                  |                  |
| Deferred tax liability              | 27    | 609,342          | 600,197          |
| Service gratuity provision          | 28    | 96,909           | 84,557           |
| Borrowings                          | 29    | 140,023          | 187,493          |
|                                     |       | <hr/>            | <hr/>            |
|                                     |       | 846,274          | 872,247          |
| <b>Current liabilities</b>          |       |                  |                  |
| Trade and other payables            | 30    | 204,917          | 116,893          |
| Due to subsidiary companies         | 23(d) | 22,565           | 22,674           |
| Borrowings                          | 29    | 65,743           | 43,772           |
| Unclaimed dividends                 | 31    | -                | 4,308            |
|                                     |       | <hr/>            | <hr/>            |
|                                     |       | 293,225          | 187,647          |
|                                     |       | <hr/>            | <hr/>            |
| <b>Total equity and liabilities</b> |       | <u>4,931,624</u> | <u>4,808,120</u> |

The financial statements on pages 16 to 70 were approved and authorised for issue by the board of directors on 9th June 2016 and were signed on its behalf by:

  
Director

  
Director

**WILLIAMSON TEA KENYA LIMITED**  
**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY**  
**FOR THE YEAR ENDED 31 MARCH 2016**

|                                         | Note    | Share capital<br>Sh'000 | Revaluation surplus<br>Sh'000 | Retained earnings                 |                  |                  | Equity attributable to owners of the company<br>Sh'000 | Non -controlling interests<br>Sh'000 | Total<br>Sh'000  |
|-----------------------------------------|---------|-------------------------|-------------------------------|-----------------------------------|------------------|------------------|--------------------------------------------------------|--------------------------------------|------------------|
| At 1 April 2014                         |         | 43,782                  | 640,923                       | Biological assets gains<br>Sh'000 | Other<br>Sh'000  | Total<br>Sh'000  | 6,366,524                                              | 214,003                              | 6,580,527        |
| Loss for the year                       |         | -                       | -                             | (305,405)                         | 97,298           | (208,107)        | (208,107)                                              | (19,529)                             | (227,636)        |
| Other comprehensive income              |         | -                       | 297,933                       | -                                 | -                | -                | 297,933                                                | -                                    | 297,933          |
| Total comprehensive income for the year |         | -                       | 297,933                       | (305,405)                         | 97,298           | (208,107)        | 89,826                                                 | (19,529)                             | 70,297           |
| Excess depreciation transfer            |         | -                       | (151,621)                     | -                                 | 151,621          | 151,621          | -                                                      | -                                    | -                |
| Deferred tax on excess depreciation     |         | -                       | 45,486                        | -                                 | (45,486)         | (45,486)         | -                                                      | -                                    | -                |
| Final dividends declared – 2014         | 31 & 26 | -                       | -                             | -                                 | (61,294)         | (61,294)         | (61,294)                                               | (6,494)                              | (67,788)         |
| <b>At 31 March 2015</b>                 |         | <b>43,782</b>           | <b>832,721</b>                | <b>1,291,880</b>                  | <b>4,226,673</b> | <b>5,518,553</b> | <b>6,395,056</b>                                       | <b>187,980</b>                       | <b>6,583,036</b> |
| At 1 April 2015                         |         | 43,782                  | 832,721                       | 1,291,880                         | 4,226,673        | 5,518,553        | 6,395,056                                              | 187,980                              | 6,583,036        |
| Bonus issue                             | 25      | 43,781                  | -                             | -                                 | (43,781)         | (43,781)         | -                                                      | -                                    | -                |
| Total comprehensive income for the year |         | -                       | -                             | 111,198                           | 594,607          | 705,805          | 705,805                                                | 32,404                               | 738,209          |
| Excess depreciation transfer            |         | -                       | (50,065)                      | -                                 | 50,065           | 50,065           | -                                                      | -                                    | -                |
| Deferred tax on excess depreciation     |         | -                       | 15,020                        | -                                 | (15,020)         | (15,020)         | -                                                      | -                                    | -                |
| Final dividends declared – 2015         | 31 & 26 | -                       | -                             | -                                 | (350,253)        | (350,253)        | (350,253)                                              | (1,193)                              | (351,446)        |
| <b>At 31 March 2016</b>                 |         | <b>87,563</b>           | <b>797,676</b>                | <b>1,403,078</b>                  | <b>4,462,291</b> | <b>5,865,369</b> | <b>6,750,608</b>                                       | <b>219,191</b>                       | <b>6,969,799</b> |

Revaluation surplus is made up of the periodic adjustment arising from the revaluation of property, plant and equipment. The reserve is not available for distribution to the shareholders.

The retained earnings in respect of biological assets represent surplus arising from fair valuation of biological assets in line with IAS 41 on Agriculture. The reserve is not available for distribution to the shareholders.

Other retained earnings represent accumulated profit arising from other normal operating activities. The reserve is available for distribution to the shareholders.

During the year, the company capitalised the sum of Sh 43,781,000 from revenue reserves and appropriated the amount to ordinary shareholders by way of a 1:1 bonus issue. The bonus was approved by way of ordinary resolution at the Annual General Meeting held on 16 July 2015.

**WILLIAMSON TEA KENYA LIMITED**  
**COMPANY STATEMENT OF CHANGES IN EQUITY**  
**FOR THE YEAR ENDED 31 MARCH 2016**

|                                         | Note | Share capital<br>Sh'000 | Revaluation surplus<br>Sh'000 | Retained earnings                    |                  |                  | Total<br>Sh'000  |
|-----------------------------------------|------|-------------------------|-------------------------------|--------------------------------------|------------------|------------------|------------------|
|                                         |      |                         |                               | Biological assets<br>gains<br>Sh'000 | Other<br>Sh'000  | Total<br>Sh'000  |                  |
| At 1 April 2014                         |      | 43,782                  | 364,061                       | 725,027                              | 2,511,241        | 3,236,268        | 3,644,111        |
| Profit for the year                     |      | -                       | -                             | (164,347)                            | 169,477          | 5,130            | 5,130            |
| Other comprehensive income              |      | -                       | 160,279                       | -                                    | -                | -                | 160,279          |
| Total comprehensive income for the year |      | -                       | 160,279                       | (164,347)                            | 169,477          | 5,130            | 165,409          |
| Excess depreciation transfer            |      | -                       | (54,493)                      | -                                    | 54,493           | 54,493           | -                |
| Deferred tax on excess depreciation     |      | -                       | 16,348                        | -                                    | (16,348)         | (16,348)         | -                |
| Final dividends declared – 2014         | 31   | -                       | -                             | -                                    | (61,294)         | (61,294)         | (61,294)         |
| <b>At 31 March 2015</b>                 |      | <b>43,782</b>           | <b>486,195</b>                | <b>560,680</b>                       | <b>2,657,569</b> | <b>3,218,249</b> | <b>3,748,226</b> |
| At 1 April 2015                         |      | 43,782                  | 486,195                       | 560,680                              | 2,657,569        | 3,218,249        | 3,748,226        |
| Bonus issue                             | 25   | 43,781                  | -                             | -                                    | (43,781)         | (43,781)         | -                |
| Total comprehensive income for the year |      | -                       | -                             | 142,990                              | 251,162          | 394,152          | 394,152          |
| Excess depreciation transfer            |      | -                       | (14,356)                      | -                                    | 14,356           | 14,356           | -                |
| Deferred tax on excess depreciation     |      | -                       | 4,307                         | -                                    | (4,307)          | (4,307)          | -                |
| Final dividends declared – 2015         | 31   | -                       | -                             | -                                    | (350,253)        | (350,253)        | (350,253)        |
| <b>At 31 March 2016</b>                 |      | <b>87,563</b>           | <b>476,146</b>                | <b>703,670</b>                       | <b>2,524,746</b> | <b>3,228,416</b> | <b>3,792,125</b> |

Revaluation surplus is made up of the periodic adjustment arising from the revaluation of property, plant and equipment. The reserve is not available for distribution to the shareholders.

The retained earnings in respect of biological assets represent surplus arising from fair valuation of biological assets in line with IAS 41 on Agriculture. The reserve is not available for distribution to the shareholders.

Other retained earnings represent accumulated profit arising from other normal operating activities. The reserve is available for distribution to the shareholders.

During the year, the company capitalised the sum of Sh 43,781,000 from revenue reserves and appropriated the amount to ordinary shareholders by way of a 1:1 bonus issue. The bonus was approved by way of ordinary resolution at the Annual General Meeting held on 16 July 2015.

WILLIAMSON TEA KENYA LIMITED

CONSOLIDATED STATEMENT OF CASH FLOWS  
FOR THE YEAR ENDED 31 MARCH 2016

|                                                         | Note  | 2016<br>Sh'000 | 2015<br>Sh'000 |
|---------------------------------------------------------|-------|----------------|----------------|
| <b>CASH FLOWS FROM OPERATING ACTIVITIES</b>             |       |                |                |
| Cash generated from operations                          | 32(a) | 707,779        | 79,587         |
| Interest received                                       |       | 101,963        | 93,833         |
| Interest paid                                           | 6     | (19,689)       | (19,825)       |
| Taxation paid                                           | 9(c)  | (23,579)       | (115,936)      |
|                                                         |       | <hr/>          | <hr/>          |
| Net cash generated from operating activities            |       | 766,474        | 37,659         |
|                                                         |       | <hr/>          | <hr/>          |
| <b>CASH FLOWS FROM INVESTING ACTIVITIES</b>             |       |                |                |
| Purchase of property, plant and equipment               | 13    | (101,918)      | (208,030)      |
| Purchase of intangible assets                           | 14    | (1,820)        | (4,635)        |
| Proceeds from disposal of property, plant and equipment |       | 7,256          | 4,508          |
| Net expenditure on biological assets                    | 20    | (26,457)       | (26,485)       |
| Dividend received - from associate company              | 17    | 7,737          | 7,798          |
| Dividends received from other investments               | 5     | 628            | 496            |
|                                                         |       | <hr/>          | <hr/>          |
| Net cash used in investing activities                   |       | (114,574)      | (226,348)      |
|                                                         |       | <hr/>          | <hr/>          |
| <b>CASH FLOWS FROM FINANCING ACTIVITIES</b>             |       |                |                |
| Asset finance loans repaid                              | 32(b) | (47,889)       | (17,123)       |
| Asset finance loan received                             | 32(b) | -              | 52,608         |
| Dividends paid to shareholders                          | 31    | (354,561)      | (58,987)       |
| Dividends paid to minority interest                     | 26    | (1,193)        | (6,494)        |
|                                                         |       | <hr/>          | <hr/>          |
| Net cash used in financing activities                   |       | (403,643)      | (29,996)       |
|                                                         |       | <hr/>          | <hr/>          |
| INCREASE/(DECREASE) IN CASH<br>AND CASH EQUIVALENTS     |       | 248,257        | (218,685)      |
| CASH AND CASH EQUIVALENTS<br>AT START OF YEAR           |       | 993,360        | 1,212,045      |
|                                                         |       | <hr/>          | <hr/>          |
| CASH AND CASH EQUIVALENTS<br>AT END OF YEAR             | 32(c) | 1,241,617      | 993,360        |
|                                                         |       | =====          | =====          |

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2016

### 1 REPORTING ENTITY

Williamson Tea Kenya Limited (The "Company/parent") and its subsidiaries (together, the Group) have the following principal activities; the cultivation, manufacture and sale of tea, investment in property and the sale and servicing of generators. Williamson Tea Kenya Limited is incorporated in Kenya under the Kenyan Companies Act as a public limited liability company and is domiciled in Kenya. The company's shares are listed on the Nairobi Securities Exchange (NSE). Williamson Tea Kenya Limited and its subsidiaries operate in Kenya.

The address of the Group's registered office is as follows:

The Acacia Block, 2nd Floor,  
Karen Office Park, Langata Road  
Nairobi  
P O Box 42281 - 00100

The immediate holding company is Ngong Tea Holdings Limited, a company incorporated in the United Kingdom. The ultimate holding company is George Williamson & Co Limited, a company incorporated in the United Kingdom.

### 2 ACCOUNTING POLICIES

#### (a) Statement of compliance

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS).

For the Kenyan Companies Act reporting purposes, in these financial statements, the balance sheet is represented by/is equivalent to the statement of financial position and the profit and loss account is presented in the statement of comprehensive income.

#### (b) Application of new and revised International Financial Reporting Standards (IFRSs)

##### (i) *New standards and amendments to published standards effective for the year ended 31 March 2016*

The following new and revised IFRSs were effective in the current year and had no material impact on the amounts reported in these financial statements.

|                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|--------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| IFRS 13<br>Fair Value<br>Measurement | The amendment to the basis for conclusions of IFRS 13 clarifies that the issuance of IFRS 13 and consequential amendments to IAS 39 and IFRS 9 did not remove the ability to measure short- term receivables and payables with no stated interest rate at their invoice amounts without discounting, if the effect of discounting is immaterial. This amendment does not include any effective date because this is just to clarify the intended meaning in the basis for conclusions. |
|--------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

As the Group does not have any financial assets and financial liabilities that qualify for offset, the application of the amendments has had no impact on the disclosures or on the amounts recognised in the Group's financial statements.

|                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|----------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| IAS 24<br>Related Party<br>Disclosures | The amendment clarifies that a management entity providing key management personnel services to the reporting entity or to the parent of the reporting entity is a related party of the reporting entity. Consequently, the reporting entity should disclose as related party transactions the amounts incurred for the service paid or payable to the management entity for the provision of key management personnel services. However, disclosure of the components of compensation to key management personnel that is paid by the management entity to the management entity's employees or directors is not required. |
|----------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

The application of this Interpretation has had no material impact on the disclosures or on the amounts recognised in the Group's financial statements.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2016

### 2 ACCOUNTING POLICIES (Continued)

#### (b) Application of new and revised International Financial Reporting Standards (IFRSs) (continued)

##### (ii) *New and amended standards and interpretations in issue but not yet effective in the year ended 31 March 2016*

| <i>New and Amendments to standards</i>        | <i>Effective for annual periods beginning on or after</i> |
|-----------------------------------------------|-----------------------------------------------------------|
| IFRS 9                                        | 1 January 2018                                            |
| IFRS 15 Revenue from contracts with customers | 1 January 2017                                            |
| Amendments to IFRS 11                         | 1 January 2016                                            |
| Amendments to IAS 16 and IAS 38               | 1 January 2016                                            |
| Amendments to IAS 16 and IAS 41               | 1 January 2016                                            |

##### (iii) *Relevant new and revised IFRSs in issue but not yet effective for the year ended 31 March 2016*

#### **IFRS 9 Financial Instruments**

In July 2014, the IASB finalised the reform of financial instruments accounting and issued IFRS 9 (as revised in 2014), which contains the requirements for a) the classification and measurement of financial assets and financial liabilities, b) impairment methodology, and c) general hedge accounting. IFRS 9 (as revised in 2014) will supersede IAS 39 Financial Instruments: Recognition and Measurement upon its effective date.

#### **Phase 1: Classification and measurement of financial assets and financial liabilities**

With respect to the classification and measurement, the number of categories of financial assets under IFRS 9 has been reduced; all recognised financial assets that are currently within the scope of IAS 39 will be subsequently measured at either amortised cost or fair value under IFRS 9. Specifically:

- a debt instrument that (i) is held within a business model whose objective is to collect the contractual cash flows and (ii) has contractual cash flows that are solely payments of principal and interest on the principal amount outstanding must be measured at amortised cost (net of any write down for impairment), unless the asset is designated at fair value through profit or loss (FVTPL) under the fair value option.
- a debt instrument that (i) is held within a business model whose objective is achieved both by collecting contractual cash flows and selling financial assets and (ii) has contractual terms that give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding, must be measured at FVTOCI, unless the asset is designated at FVTPL under the fair value option.
- all other debt instruments must be measured at FVTPL.
- all equity investments are to be measured in the statement of financial position at fair value, with gains and losses recognised in profit or loss except that if an equity investment is not held for trading, an irrevocable election can be made at initial recognition to measure the investment at FVTOCI, with dividend income recognised in profit or loss.

IFRS 9 also contains requirements for the classification and measurement of financial liabilities and derecognition requirements. One major change from IAS 39 relates to the presentation of changes in the fair value of a financial liability designated as at FVTPL attributable to changes in the credit risk of that liability. Under IFRS 9, such changes are presented in other comprehensive income, unless the presentation of the effect of the change in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss. Under IAS 39, the entire amount of the change in the fair value of the financial liability designated as FVTPL is presented in profit or loss.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2016

### 2 ACCOUNTING POLICIES (Continued)

#### (b) Application of new and revised International Financial Reporting Standards (IFRSs) (continued)

##### (iii) *Relevant new and revised IFRSs in issue but not yet effective for the year ended 31 March 2016*

#### **IFRS 9 Financial Instruments**

##### **Phase 2: Impairment methodology**

The impairment model under IFRS 9 reflects expected credit losses, as opposed to incurred credit losses under IAS 39. Under the impairment approach in IFRS 9, it is no longer necessary for a credit event to have occurred before credit losses are recognised. Instead, an entity always accounts for expected credit losses and changes in those expected credit losses. The amount of expected credit losses should be updated at each reporting date to reflect changes in credit risk since initial recognition.

##### **Phase 3: Hedge accounting**

The general hedge accounting requirements of IFRS 9 retain the three types of hedge accounting mechanisms in IAS 39. However, greater flexibility has been introduced to the types of transactions eligible for hedge accounting, specifically broadening the types of instruments that qualify as hedging instruments and the types of risk components of non-financial items that are eligible for hedge accounting. In addition, the effectiveness test has been overhauled and replaced with the principle of an 'economic relationship'. Retrospective assessment of hedge effectiveness is no longer required. Far more disclosure requirements about an entity's risk management activities have been introduced.

##### **Transitional provisions**

IFRS 9 (as revised in 2014) is effective for annual periods beginning on or after 1 January 2018 with earlier application permitted. If an entity elects to apply IFRS 9 early, it must apply all of the requirements in IFRS 9 at the same time, except for those relating to:

1. the presentation of fair value gains and losses attributable to changes in the credit risk of financial liabilities designated as at FVTPL, the requirements for which an entity may early apply without applying the other requirements in IFRS 9; and
2. hedge accounting, for which an entity may choose to continue to apply the hedge accounting requirements of IAS 39 instead of the requirements of IFRS 9.

The directors of the Group anticipate that the application of IFRS 9 in the future may not have a significant impact on amounts reported in respect of the group's financial assets and financial liabilities.

#### **IFRS 15 Revenue from Contracts with Customers**

In May 2015, IFRS 15 was issued which establishes a single comprehensive model for entities to use in accounting for revenue arising from contracts with customers. IFRS 15 will supersede the current revenue recognition guidance including IAS 18 Revenue, IAS 11 Construction Contracts and the related Interpretations when it becomes effective.

The core principle of IFRS 15 is that an entity should recognise revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. Specifically, the Standard introduces a 5-step approach to revenue recognition:

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 2 ACCOUNTING POLICIES (Continued)

#### (b) Application of new and revised International Financial Reporting Standards (IFRSs) (Continued)

##### (iii) *Relevant new and revised IFRSs in issue but not yet effective for the year ended 31 March 2016 (Continued)*

#### **IFRS 15 Revenue from Contracts with Customers (Continued)**

- Step 1: Identify the contract(s) with a customer
- Step 2: Identify the performance obligations in the contract
- Step 3: Determine the transaction price
- Step 4: Allocate the transaction price to the performance obligations in the contract
- Step 5: Recognise revenue when (or as) the entity satisfies a performance obligation

Under IFRS 15, an entity recognises revenue when (or as) a performance obligation is satisfied, i.e. when 'control' of the goods or services underlying the particular performance obligation is transferred to the customer. Far more prescriptive guidance has been added in IFRS 15 to deal with specific scenarios. Furthermore, extensive disclosures are required by IFRS 15. However, it is not practicable to provide a reasonable estimate of the effect of IFRS 15 until a detailed review has been completed.

#### **Amendments to IAS 16 and IAS 38 *Clarification of Acceptable Methods of Depreciation and Amortisation***

The amendments to IAS 16 prohibit entities from using a revenue-based depreciation method for items of property, plant and equipment. The amendments to IAS 38 introduce a rebuttable presumption that revenue is not an appropriate basis for amortisation of an intangible asset. This presumption can only be rebutted in the following two limited circumstances:

- a) when the intangible asset is expressed as a measure of revenue; or
- b) when it can be demonstrated that revenue and consumption of the economic benefits of the intangible asset are highly correlated.

The amendments apply prospectively for annual periods beginning on or after 1 January 2016. Currently, the Group uses the straight-line method for depreciation and amortisation for its property and equipment, and intangible assets respectively.

The directors of the Group do not anticipate that the application of the standard will have a significant impact on the Group's consolidated financial statements.

#### **Amendments to IAS 16 and IAS 41 *Bearer plants***

The amendments to IAS 41 bring bearer plants, which are used solely to grow produce, into IAS 16 so that they can be accounted for in the same way as property, plant and equipment. Bearer plants are measured at cost subsequent to initial recognition or at revaluation. A bearer plant is defined as a "living plant that:

- a) is used in the production or supply of agricultural produce;
- b) is expected to bear produce for more than one period; and
- c) has a remote likelihood of being sold as agricultural produce, except for incidental scrap sales."

The amendments also clarify that produce growing on bearer plants continues to be accounted for at fair value under IAS 41 and that government grants related to bearer plants no longer fall into the scope of IAS 41 but need to be accounted for under IAS 20 *Accounting for Government Grants and Disclosure of Government Assistance*.

## WILLIAMSON TEA KENYA LIMITED

### NOTES TO THE FINANCIAL STATEMENTS (Continued)

#### 3 ACCOUNTING POLICIES (Continued)

##### (b) Application of new and revised International Financial Reporting Standards (IFRSs) (Continued)

###### (iii) *Relevant new and revised IFRSs in issue but not yet effective for the year ended 31 March 2016 (Continued)*

###### **Amendments to IAS 16 and IAS 41 Bearer plants (Continued)**

On the initial application of the amendments, entities are permitted to use fair value of items of bearer plants as their deemed cost as at the beginning of the earliest period presented. Also, an entity need not disclose the quantitative information required by paragraph 28(f) of IAS 8 for the current period. However, entities are required to provide these disclosures for each period presented.

The amendments should be applied retrospectively from annual periods beginning on or after 1 January 2016 with earlier application permitted.

The directors of the Group anticipate that the application of these amendments will have a significant impact on amounts reported in the group's financial statements. However it is not possible to assess the impact until a detailed review is done.

###### **Annual Improvements 2010-2012 Cycle**

The Annual Improvements to IFRSs 2011-2014 Cycle include a number of amendments to various IFRSs, which are summarised below:

The amendments to IFRS 3 clarify that the standard does not apply to the accounting for the formation of all types of joint arrangement in the financial statements of the joint arrangement itself.

The amendments to IFRS 13 clarify that the scope of the portfolio exception for measuring the fair value of a group of financial assets and financial liabilities on a net basis includes all contracts that are within the scope of, and accounted for in accordance with, IAS 39 or IFRS 9, even if those contracts do not meet the definitions of financial assets or financial liabilities within IAS 32

The amendments to IAS 40 clarify that IAS 40 and IFRS 3 are not mutually exclusive and application of both standards may be required. Consequently, an entity acquiring investment property must determine whether:

- (a) the property meets the definition of investment property in terms of IAS 40; and
- (b) the transaction meets the definition of a business combination under IFRS 3

The directors of the Group do not anticipate that the application of these amendments will have a significant impact on the Group's financial statements.

###### (iv) *Early adoption of standards*

The Group did not early-adopt any new or amended standards in 2016.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 2 ACCOUNTING POLICIES (Continued)

**The Group's principal accounting policies are set out below:**

#### **Basis of preparation**

The Group prepares its financial statements under the historical cost convention as modified by revaluation of certain assets.

#### **Basis of consolidation**

##### **(a) Subsidiaries**

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The Group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of subsidiaries is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The Group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred. If the business combination is achieved in stages, the acquisition date carrying value of the acquirer's previously held equity interest in the acquiree is re-measured to fair value at the acquisition date; any gains or losses arising from such re-measurement are recognised in profit or loss.

Any contingent consideration to be transferred by the Group is recognised at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration that is deemed to be an asset or liability is recognised in accordance with IAS 39 either in profit or loss or as a change to other comprehensive income. Contingent consideration that is classified as equity is not re-measured, and its subsequent settlement is accounted for within equity.

The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired is recorded as goodwill. If the total of consideration transferred, non-controlling interest recognised and previously held interest measured is less than the fair value of the net assets of the subsidiaries acquired in the case of a bargain purchase, the difference is recognised directly in the income statement.

Inter-company transactions, balances and unrealised gains on transactions between Group companies are eliminated. Unrealised losses are also eliminated. When necessary amounts reported by subsidiaries have been adjusted to conform with the Group's accounting policies.

The consolidated financial statements incorporate the financial statements of the company and its subsidiaries, details of which are disclosed in note 18 to the financial statements and also includes the Group's share of the results of the associate company as disclosed in note 17 to the financial statements, all made up to 31 March.

Investments in subsidiary companies in the company's books are carried at cost less provision for impairment.

##### **(b) Changes in ownership interests in subsidiaries without change of control**

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiaries is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

**WILLIAMSON TEA KENYA LIMITED**  
**NOTES TO THE FINANCIAL STATEMENTS**

**2 ACCOUNTING POLICIES (Continued)**

**Basis of consolidation (Continued)**

**(c) Disposal of subsidiaries**

When the Group ceases to have control any retained interest in the entity is remeasured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as

The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

**Investments in associate companies**

An associate is an entity over which the Group has significant influence and that is neither a subsidiary nor an interest in a joint venture. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

The results and assets and liabilities of associates are incorporated in these consolidated financial statements using the equity method of accounting, except when the investment is classified as held for sale, in which case it is accounted for in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations. Under the equity method, an investment in an associate is initially recognised in the consolidated statement of financial position at cost and adjusted thereafter to recognise the Group's share of the profit or loss and other comprehensive income of the associate. When the Group's share of losses of an associate exceeds the Group's interest in that associate (which includes any long-term interests that, in substance, form part of the Group's net investment in the associate), the Group discontinues recognising its share of further losses. Additional losses are recognised only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate.

Any excess of the cost of acquisition over the Group's share of the net fair value of the identifiable assets, liabilities and contingent liabilities of an associate recognised at the date of acquisition is recognised as goodwill, which is included within the carrying amount of the investment. Any excess of the Group's share of the net fair value of the identifiable assets, liabilities and contingent liabilities over the cost of acquisition, after reassessment, is recognised immediately in profit or loss.

The requirements of IAS 39 are applied to determine whether it is necessary to recognise any impairment loss with respect to the Group's investment in an associate. When necessary, the entire carrying amount of the investment (including goodwill) is tested for impairment in accordance with IAS 36 Impairment of Assets as a single asset by comparing its recoverable amount (higher of value in use and fair value less costs to sell) with its carrying amount; Any impairment loss recognised forms part of the carrying amount of the investment. Any reversal of that impairment loss is recognised in accordance with IAS 36 to the extent that the recoverable amount of the investment subsequently increases.

Upon disposal of an associate that results in the Group losing significant influence over that associate, any retained investment is measured at fair value at that date and the fair value is regarded as its fair value on initial recognition as a financial asset in accordance with IAS 39. The difference between the previous carrying amount of the associate attributable to the retained interest and its fair value is included in the determination of the gain or loss on disposal of the associate

In addition, the Group accounts for all amounts previously recognised in other comprehensive income in relation to that associate on the same basis as would be required if that associate had directly disposed of the related assets or liabilities. Therefore, if a gain or loss previously recognised in other comprehensive income by that associate would be reclassified to profit or loss on the disposal of the related assets or liabilities, the Group reclassifies the gain or loss from equity to profit or loss (as a reclassification adjustment) when it loses significant influence over that associate. When a Group entity transacts with its associate, profits and losses resulting from the transactions with the associate are recognised in the Group's consolidated financial statements only to the extent of interests in the associate that are not related to the Group.

# **WILLIAMSON TEA KENYA LIMITED**

## **NOTES TO THE FINANCIAL STATEMENTS**

### **2 ACCOUNTING POLICIES (Continued)**

#### **Revenue recognition**

Sales are recognised upon despatch of products and are stated net of returns, discounts and value added tax.

Rental income is recognised on the accruals basis and dividend income is recognised when the shareholders' right to receive payment has been established.

Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable.

#### **Inventories**

Made tea inventories are stated at the lower of cost and net realisable value. Made tea inventory costs comprise fair value of tea leaf less point of sale costs at the point of harvest and actual costs incurred at the factory in the processing of made tea from tea leaf. Net realisable value represents the estimated selling price less all estimated costs of completion and costs to be incurred in marketing, selling and distribution.

Firewood is stated at the lower of production cost and net realizable value.

Consumable stores inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average method.

#### **Biological assets**

Biological assets (tea bushes, fuel plantations and timber plantations) and agricultural produce have been stated at their fair value less estimated point-of-sale costs. The fair value of tea bushes is determined based on the present value of expected net cash flows discounted at a current market-determined pre-tax rate. The fair values of fuel and timber plantations are determined based on the prices existing in the market. The cost of replanting, infilling and upkeep are recognised as an expense through profit or loss.

#### **Property, plant and equipment**

Property, plant and equipment are stated at cost or as professionally revalued less accumulated depreciation and any impairment losses. Professional valuations are carried out in accordance with the company's policy of revaluing certain items of property, plant and equipment after every three years.

The bases of valuation are as follows:

Land – open market value for the existing use (highest and best use)

Other assets – net current replacement cost.

Any revaluation increase arising on the revaluation of such land and other assets is recognized in other comprehensive income, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in profit or loss, in which case the increase is credited to profit or loss to the extent of the decrease previously expensed. A decrease in the carrying amount arising on the revaluations of such land and other assets is recognised in profit or loss to the extent that it exceeds the balance, if any, held in the revaluation surplus reserve relating to a previous revaluation of that asset.

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to rise from the continued use of the asset. The gain or loss arising on disposal or retirement of an item of property, plant and equipment is determined as the difference between sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

#### **Capital work in progress**

Capital work in progress relates to property and plant under construction. Cost includes materials, direct labour and any other direct expenses incurred in respect of the project. The amounts are transferred to the appropriate property, plant and equipment categories once the project is completed and commissioned.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 2 ACCOUNTING POLICIES (Continued)

#### Depreciation

No depreciation is provided on freehold land. Capital work in progress is not depreciated until the asset is brought into use. Other items of property, plant and equipment are depreciated on a straight line basis to write off the cost or valuation over their estimated useful lives. The estimated useful lives, residual values and depreciation method are reviewed at each year end, with the effect of any changes in estimate accounted for on a prospective basis. The annual rates generally in use are as follows:

|                                          |          |
|------------------------------------------|----------|
| Buildings                                | 5%       |
| Dams                                     | 2.5%     |
| Machinery and equipment                  | 10%      |
| Tractors and accessories                 | 10 - 25% |
| Motor vehicles                           | 25%      |
| Office equipment, furniture and fittings | 10%      |
| Computers                                | 25%      |
|                                          | =====    |

Depreciation on revalued building and other property is recognised in profit or loss. On the subsequent sale or retirement of a revalued property, the attributable revaluation surplus remaining in the properties revaluation reserve is transferred directly to retained earnings. Each year, the difference between depreciation based on the revalued carrying amount of an asset (the depreciation charged to the profit or loss) and depreciation based on the asset's original cost is transferred from the revaluation surplus to revenue reserves, net of related deferred taxation.

#### Intangible assets-computer software costs

Costs incurred on computer software are accounted for at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is calculated on a straight line basis over the estimated useful lives not exceeding a period of 3 years.

#### Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised over the period of the lease. When a lease includes land and buildings elements, the Group assess the classification of each element as either finance lease or operating lease. In determining classification of the land element, an important consideration is that land normally has an indefinite economic life. Therefore the finance lease or operating lease classification of the land is considered a critical area of judgement. See note 3 to these financial statements.

#### Investment properties

Investment properties are properties held to earn rentals and/or for capital appreciation (including property under construction for such purposes). Investment properties are measured initially at cost, including transaction costs. Subsequent to initial recognition, investment properties are measured at fair value. Gains and losses arising from changes in the fair value of investment properties are included in profit or loss in the period in which they arise.

An investment property is derecognised upon disposal or when the investment property is permanently withdrawn from use and no future economic benefits are expected from the disposal. Any gain or loss arising on derecognition of the property (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the period in which the property is derecognised.

#### Taxation

Income tax expense represents the sum of the tax currently payable and deferred tax.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 2 ACCOUNTING POLICIES (Continued)

#### **Taxation (Continued)**

##### *(i) Current taxation*

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the profit or loss because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The Group's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

##### *(ii) Deferred taxation*

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the consolidated financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

##### *(iii) Current and deferred tax for the year*

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively. Where current tax or deferred tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for business combination.

#### **Employee benefits costs**

##### *(i) Group's defined contribution retirement benefit scheme*

The Group operates a defined contribution scheme for eligible non-unionisable employees. The assets of the scheme are held in a separate trustee administered fund. The Group's contributions to the defined contribution plan are charged to the profit or loss in the year to which they relate.

##### *(ii) Statutory defined contribution pension scheme*

The Group also contributes to the statutory National Social Security Fund. This is a defined contribution scheme registered under the National Social Security Act. The Group's obligations under the scheme are limited to specific contributions legislated from time to time. The Group's contribution in respect of retirement benefit costs are charged to the profit or loss account in the year which they relate.

##### *(iii) Other employee entitlements*

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave or compensated absences accrued at the end of the reporting period.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 2 ACCOUNTING POLICIES (Continued)

#### **Employee benefits costs (Continued)**

##### *(iii) Other employee entitlements (Continued)*

The Group's unionisable staff who resign or whose services are terminated either due to illness or other reasons after completion of ten years of continuous and meritorious service are entitled to twenty one day's pay for each completed year of service by way of gratuity, based on the wages or salary at the time of such resignation or termination of services, as provided for in the trade union agreement. An employee who is dismissed or terminated for gross misconduct is not entitled to gratuity. The service gratuity is provided for in the financial statements at present value of benefits payable as it accrues to each employee.

#### **Impairment of tangible and intangible assets excluding goodwill**

At the end of each reporting period, the group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the group estimates the recoverable amount of the cash-generating unit to which the asset belongs. Where a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment at least annually, and whenever there is an indication that the asset may be impaired.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted. If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or a cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

#### **Leases**

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Rental income from operating leases is recognised on a straight line basis over the terms of the relevant leases. Rentals payable under operating leases are charged to income on a straight-line basis over the term of the relevant lease.

Assets held under finance leases are recognised as assets of the Group at their fair value at the date of acquisition or, if lower, at the present value of the minimum lease payments. The corresponding liability to the lessor is included in the statement of financial position as a finance lease obligation. Lease payments are apportioned between finance charges and reduction of the lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged directly against income.

## WILLIAMSON TEA KENYA LIMITED

### NOTES TO THE FINANCIAL STATEMENTS (Continued)

#### 2 ACCOUNTING POLICIES (Continued)

##### **Foreign currencies**

In preparing the financial statements of each individual Group entity, transactions in currencies other than the entity's functional currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated. Exchange differences on monetary items are recognised in profit or loss in the period in which they arise.

##### **Financial instruments**

A financial asset or liability is recognised when the Group becomes party to the contractual provisions of the instrument.

##### **Financial assets**

###### ***Classification***

The Group classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans and receivables; held- to- maturity investments; and available-for-sale assets. Management determines the appropriate classification of its investments at initial recognition.

###### ***(i) Financial assets at fair value through profit or loss***

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management. Gains and losses arising from changes in fair value are recognised in the profit or loss.

###### ***(ii) Loans and receivables***

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the Group provides money, goods or services directly to a debtor with no intention of trading the receivable.

###### ***(iii) Held to maturity investments***

Financial assets with fixed or determinable payments and fixed maturity where the Group has the positive intent and ability to hold to maturity other than loans and receivables originated by the Group are classified as held to maturity investments and are measured at amortised cost using effective interest rate method less any impairment with revenue recognised on an effective yield basis.

###### ***(iv) Available-for-sale financial assets***

Financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held to maturity are classified as available-for-sale.

##### ***Recognition and measurement***

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss.

## WILLIAMSON TEA KENYA LIMITED

### NOTES TO THE FINANCIAL STATEMENTS (Continued)

#### 2 ACCOUNTING POLICIES (Continued)

##### **Financial instruments (Continued)**

##### **Financial assets (Continued)**

##### *Recognition and measurement (Continued)*

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are included in the profit or loss in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income and accumulated in the investments revaluation reserve, with the exception of impairment losses, interest calculated using the effective interest method, and foreign exchange gains and losses on monetary assets, which are recognised in profit or loss. Where the investment is disposed of, or is determined to be impaired, the cumulative gain or loss previously accumulated in the investments revaluation reserve is reclassified to profit or loss. Dividends on available-for-sale equity instruments are recognised in the profit or loss when the Group's right to receive the dividends is established.

##### *Impairment and uncollectability of financial assets*

At the end of each reporting period, all financial assets are subject to review for impairment. If it is probable that the Group will not be able to collect all amounts due (principal and interest) according to the contractual terms of loans, receivables, or held-to-maturity investments carried at amortised cost, an impairment or bad debt loss has occurred. The carrying amount of the asset is reduced to its estimated recoverable amount either directly or through use of an allowance account. The amount of the loss incurred is dealt with through profit or loss for the year.

If a loss on a financial asset carried at fair value (recoverable amount is below original acquisition cost) has been recognised in other comprehensive income and there is objective evidence that the asset is impaired, the cumulative net loss that had been recognised in other comprehensive income is removed and recognised in the profit or loss for the period even though the financial asset has not been derecognised.

##### **Financial liabilities**

##### *De-recognition of financial assets*

Financial assets are derecognised when the contractual rights to receive cash flows from the financial assets have expired or where the Group has transferred substantially all risks and rewards of ownership of the asset to another entity. If the Group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Group retains substantially all the risks and rewards of ownership of a transferred financial asset, the Group continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain or loss that had been recognized in other comprehensive income and accumulated in equity is recognized in profit or loss.

##### *Recognition and measurement*

##### *Bank borrowings*

Interest bearing bank loans and overdrafts are recorded at the proceeds received, net of direct issue costs. Finance charges including premiums payable on settlement or redemption, are accounted for on an accrual basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period they arise.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 2 ACCOUNTING POLICIES (Continued)

#### **Financial instruments (Continued)**

#### **Financial liabilities (Continued)**

#### ***Recognition and measurement (Continued)***

##### ***Trade payables***

Trade payables are carried at cost which is measured at the fair or contracted value of the consideration to be paid in future in respect of goods and services supplied by the suppliers, whether billed or not, to the Group.

##### ***Derecognition of financial liabilities***

A financial liability is derecognised when its contractual obligations are redeemed or otherwise extinguished. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

##### ***Offsetting***

Financial instrument are set off and the net amount reported in the statement of financial position when there is a legal right to set off the amounts and there is an intention to settle on a net basis or to realise the assets and settle the liability simultaneously.

##### **Dividends payable**

Dividends payable on ordinary shares are charged to retained earnings in the period in which they are declared. Proposed dividends are not accrued for until ratified in an Annual General Meeting.

##### **Operating segments**

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker (Group Board of directors). The directors then allocate resources to and assess the performance of the operating segments of the Group. The operating segments are based on the Group's internal reporting structure. In accordance with IFRS 8, the Group has the following operating segments; cultivation, sale and manufacture of tea, investment in property and the sale and servicing of generators.

Segment assets and liabilities comprise those operating assets and liabilities that are directly attributable to the segment or can be allocated to the segment on a reasonable basis.

Capital expenditure represents the total cost incurred during the year to acquire segment assets that are expected to be used during more than one period (property, plant and equipment).

##### **Comparatives**

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

### 3 CRITICAL JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the process of applying the Group's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

These are dealt with below:

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3 CRITICAL JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY (Continued)

(i) Critical judgments in applying the Group's accounting policies

*Impairment losses*

At the end of each reporting period, the Group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash generating unit to which the asset belongs. Any impairment losses are recognised immediately. Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount. A reversal of an impairment loss other than that arising from goodwill, is recognised as income immediately.

*Classification of leases on land and buildings as finance or operating leases*

At the inception of each lease of land or building, the Group considers the substance rather than the form of the lease contract. Examples of situations that individually or in combination would normally lead to a lease being classified as a finance lease are:

- The lease transfers ownership of the asset to the lessee by the end of the lease term;
- The lessee has the option to purchase the asset at a price that is expected to be sufficiently lower than the fair value at the date the option becomes exercisable for it to be reasonably certain, at the inception of the lease, that the option will be exercised;
- The lease term is for the major part of the economic life of the asset even if title is not transferred;
- At the inception of the lease the present value of the minimum lease payments amounts to at least substantially all of the fair value of the leased asset; and
- The leased assets are of such a specialised nature that only the lessee can use them without major modifications.

The Group also considers indicators of situations that individually or in combination could also lead to a lease being classified as a finance lease. Examples of such indicators include:

- If the lessee can cancel the lease, the lessor's losses associated with the cancellation are borne by the lessee;
- gains or losses from the fluctuation in the fair value of the residual accrue to the lessee (for example, in the form of a rent rebate equaling most of the sales proceeds at the end of the lease); and the lessee has the ability to continue the lease for a secondary period at a rent that is substantially lower than market rent.

(ii) Key sources of estimation uncertainty

*Biological assets*

In determining the fair value of biological assets, the Group uses the present value of expected discounted cash flows from the assets in their present location and condition. The discounted cash flows are estimates based on historical data relating to yields, prices of made tea and exchange rates, and on any projected changes in point of sale costs. The methodology and assumptions used are reviewed regularly to try to minimize differences between estimates and actual experience, but material differences can and do arise.

The significant assumptions, and a note as to an instance where there has been a material change as a result of reviewing the assumptions, are set out in note 20.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 3 CRITICAL JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY (Continued)

#### (ii) Key sources of estimation uncertainty (Continued)

##### *Property, plant and equipment*

Critical estimates are made by directors in determining the useful lives and residual values to property, plant and equipment based on the intended use of the assets and the economic lives of those assets. Subsequent changes in circumstances or prospective utilisation of the assets concerned could result in the actual useful lives or residual values differing from initial estimates.

##### *Fair value measurement and valuation*

Some of the Group's assets and liabilities are measured at fair values for financial reporting purposes. In estimating the fair values of an asset or a liability, the Group uses market observable data to the extent it is available. Where level I inputs are not available the Group engages third party qualified valuers to perform the valuation. The board and management work closely to establish the appropriate valuation techniques and inputs to the model.

Information about valuation techniques and inputs used in determining the fair value of various assets and liabilities are disclosed in notes 13 and 16.

##### *Land tenure*

The new constitution that was promulgated in August 2010 provided that a person who is not a citizen may hold land on the basis of leasehold tenure only and such leases, however granted, shall not exceed 99 years.

The company holds freehold titles and 999 year land leases. The directors are awaiting Government confirmation on the commencement dates for the 99 year leases. The financial statements have been prepared on the basis of land leases being 999 years as the effect of conversion to 99 years has no material effect on the financial statements.

### 4 SEGMENTAL INFORMATION

#### a) Products and services from which reportable segments derive their revenues

In accordance with IFRS 8, Operating segments, information reported to the Group's Chief Operating Decision Makers (the Board of Directors) for the purposes of resource allocation and assessment of segment performance is focussed on the principal activities and the products offered by the Group.

The identifiable reporting segments of the Group therefore are:

- The cultivation, manufacture and sale of tea.
- Investment in property.
- Sale and servicing of generators.

#### b) Measurement of operating segment profit or loss, assets and liabilities

The accounting policies of the operating segments are the same as those described in the summary of significant accounting policies in note 2.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 4 SEGMENTAL INFORMATION (Continued)

#### c) Segment revenues and results, assets and liabilities and other information

The segment information provided to the Group board of directors for the reportable segments is as follows:-

|                                                         | Tea<br>Sh'000 | Property<br>Sh'000 | Generator<br>trading<br>Sh'000 | Group<br>Sh'000 |
|---------------------------------------------------------|---------------|--------------------|--------------------------------|-----------------|
| <b>2016</b>                                             |               |                    |                                |                 |
| <b>Revenues and results</b>                             |               |                    |                                |                 |
| Revenue                                                 | 3,337,405     | 1,500              | 47,110                         | 3,386,015       |
| Fair value gain on investment property                  | -             | 15,000             | -                              | 15,000          |
| Other income                                            | 3,297         | 16,457             | 447                            | 20,201          |
| Finance income                                          | 56,869        | 43,643             | 1,451                          | 101,963         |
| Finance costs                                           | (19,561)      | (128)              | -                              | (19,689)        |
| Group's share of associate<br>company results after tax | 92,697        | -                  | -                              | 92,697          |
| Profit/(loss) before taxation<br>(including associate)  | 853,920       | 84,548             | 1,977                          | 940,445         |
| <b>Assets and liabilities</b>                           |               |                    |                                |                 |
| Segment assets                                          | 5,162,791     | 4,071,557          | 50,958                         | 9,285,306       |
| Segment liabilities                                     | 1,635,903     | 672,949            | 6,655                          | 2,315,507       |
| <b>Other information</b>                                |               |                    |                                |                 |
| Depreciation                                            | 260,922       | 5,044              | 2,246                          | 268,212         |
| Amortisation of prepaid operating lease                 | 84            | -                  | -                              | 84              |
| Amortisation of intangible assets                       | 1,292         | 937                | 36                             | 2,265           |
| Capital expenditure                                     | 206,048       | 1,635              | 347                            | 208,030         |
|                                                         | =====         | =====              | =====                          | =====           |
| <b>2015</b>                                             |               |                    |                                |                 |
| <b>Revenues and results</b>                             |               |                    |                                |                 |
| Revenue                                                 | 2,532,496     | 2,988              | 54,932                         | 2,590,416       |
| Fair value gain on investment property                  | -             | 25,000             | -                              | 25,000          |
| Other income                                            | 3,424         | 25,987             | 164                            | 29,575          |
| Finance income                                          | 43,352        | 45,627             | 1,391                          | 90,370          |
| Finance costs                                           | (19,822)      | (3)                | -                              | (19,825)        |
| Group's share of associate<br>company results after tax | (9,013)       | -                  | -                              | (9,013)         |
| (Loss)/profit before taxation<br>(including associate)  | (465,295)     | 161,340            | 5,390                          | (298,565)       |
| <b>Assets and liabilities</b>                           |               |                    |                                |                 |
| Segment assets                                          | 6,932,605     | 1,575,827          | 50,126                         | 8,558,558       |
| Segment liabilities                                     | 1,373,076     | 597,473            | 4,973                          | 1,975,522       |
| <b>Other information</b>                                |               |                    |                                |                 |
| Depreciation                                            | 174,429       | 6,300              | 2,221                          | 182,950         |
| Amortisation of prepaid operating lease                 | 84            | -                  | -                              | 84              |
| Amortisation of intangible assets                       | 689           | 889                | 143                            | 1,721           |
| Capital expenditure                                     | 99,936        | 2,525              | 4,441                          | 101,918         |
|                                                         | =====         | =====              | =====                          | =====           |

Revenue reported above represents revenue generated from external customers.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 4 SEGMENTAL INFORMATION (Continued)

#### d) Information on major customers

Included in total revenue of Sh 3,386,015,000 (2015: Sh 2,590,416,000) is revenue of approximately Sh nil (2015: Sh 488,530,000) which relates to sales made through the ultimate parent company, George Williamson & Co Limited.

#### e) Geographical information

The Group is based in Kenya and hence all its assets are located in Kenya. However, the Group's revenue is derived from the following markets:

|                         | 2016<br>Sh'000   | 2015<br>Sh'000   |
|-------------------------|------------------|------------------|
| Global markets- exports | 3,318,694        | 2,508,538        |
| Kenya- domestic         | 67,321           | 81,878           |
|                         | <u>3,386,015</u> | <u>2,590,416</u> |

### 5 OTHER INCOME

|                                                          |               |               |
|----------------------------------------------------------|---------------|---------------|
| Fair value gain on investment properties (note 16)       | 15,000        | 25,000        |
| Dividend income from unquoted investments                | 628           | 496           |
| Miscellaneous income                                     | 3,095         | 8,126         |
| Gain/(loss) on disposal of property, plant and equipment | 1,478         | (4,047)       |
|                                                          | <u>20,201</u> | <u>29,575</u> |

### 6 FINANCE INCOME AND COSTS

#### Finance costs:

|                      |                 |                 |
|----------------------|-----------------|-----------------|
| Interest expense on: |                 |                 |
| - bank overdrafts    | (2,064)         | (2,054)         |
| - bank loans         | (17,625)        | (17,771)        |
|                      | <u>(19,689)</u> | <u>(19,825)</u> |

#### Finance income:

|                                 |                |                |
|---------------------------------|----------------|----------------|
| Interest on short term deposits | 101,963        | 90,370         |
|                                 | <u>101,963</u> | <u>90,370</u>  |
| Net finance costs               | <u>82,274</u>  | <u>192,709</u> |

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

|                                                                        | 2016<br>Sh'000 | 2015<br>Sh'000 |
|------------------------------------------------------------------------|----------------|----------------|
| <b>7</b>                                                               |                |                |
| <b>PROFIT/(LOSS) BEFORE TAXATION</b>                                   |                |                |
| <b>The profit/(loss) before taxation is arrived at after charging:</b> |                |                |
| Depreciation of property and equipment (note 13)                       | 268,212        | 182,950        |
| Amortisation of intangible assets (note 14)                            | 2,265          | 1,721          |
| Amortisation of leasehold property (note 15)                           | 84             | 84             |
| Staff costs (note 8)                                                   | 777,675        | 639,063        |
| Directors' remuneration:                                               |                |                |
| Non – executive                                                        |                |                |
| Fees                                                                   | 13,591         | 4,084          |
| Other emoluments                                                       | -              | -              |
| Executive                                                              | 25,729         | 23,626         |
| Loss on disposal of property, plant and equipment                      | -              | 4,047          |
| Auditors' remuneration                                                 | 8,111          | 8,111          |
|                                                                        | =====          | =====          |
| <b>And after crediting:</b>                                            |                |                |
| Operating lease rental income                                          | 1,500          | 2,988          |
| Fair value of agricultural produce harvested during the year           | 233,880        | 210,010        |
| Dividend income                                                        | 7,737          | 7,798          |
| Gain on disposal of property, plant and equipment                      | 1,478          | -              |
| Fair value gain on investment properties                               | 15,000         | 25,000         |
|                                                                        | =====          | =====          |
| <b>8</b>                                                               |                |                |
| <b>STAFF COSTS</b>                                                     |                |                |
| Wages and salaries                                                     | 641,276        | 536,534        |
| Social security costs (NSSF)                                           | 4,205          | 4,215          |
| Pension costs (defined contribution plan)                              | 31,527         | 9,840          |
| Service gratuity and other terminal benefits (note 28)                 | 49,881         | 42,797         |
| Leave pay provision                                                    | 33,922         | 27,690         |
| Medical expenses                                                       | 14,142         | 17,987         |
| Other staff costs                                                      | 2,722          | -              |
|                                                                        | =====          | =====          |
|                                                                        | 777,675        | 639,063        |
|                                                                        | =====          | =====          |

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

|                                                                                             | GROUP          |                  | COMPANY        |                 |
|---------------------------------------------------------------------------------------------|----------------|------------------|----------------|-----------------|
|                                                                                             | 2016<br>Sh'000 | 2015<br>Sh'000   | 2016<br>Sh'000 | 2015<br>Sh'000  |
| 9 TAXATION                                                                                  |                |                  |                |                 |
| (a) TAXATION CHARGE/(CREDIT)                                                                |                |                  |                |                 |
| Current taxation based on the adjusted profit at 30%                                        |                |                  |                |                 |
| - current year                                                                              | 210,292        | 61,046           | 74,736         | 27,474          |
| - prior year under provision                                                                | 347            | 331              | -              | 336             |
|                                                                                             | <u>210,639</u> | <u>61,377</u>    | <u>74,736</u>  | <u>27,810</u>   |
| Deferred taxation (note 27)                                                                 |                |                  |                |                 |
| - current year                                                                              | 52,285         | (108,168)        | 69,529         | (23,886)        |
| - prior year over provision                                                                 | (60,688)       | (21,467)         | (60,384)       | (21,336)        |
|                                                                                             | <u>(8,403)</u> | <u>(129,635)</u> | <u>9,145</u>   | <u>(45,222)</u> |
| Taxation charge/(credit)                                                                    | <u>202,236</u> | <u>(68,258)</u>  | <u>83,881</u>  | <u>(17,412)</u> |
| (b) RECONCILIATION OF EXPECTED TAX BASED ON ACCOUNTING PROFIT/(LOSS) TO TAX CHARGE/(CREDIT) |                |                  |                |                 |
| Accounting profit/(loss) before taxation                                                    | <u>940,445</u> | <u>(295,894)</u> | <u>478,033</u> | <u>(12,282)</u> |
| Tax at the applicable rate of 30%                                                           | 282,134        | (88,768)         | 143,410        | (3,685)         |
| Tax effect of expenses not deductible for tax purposes                                      | 13,378         | 69,931           | 5,631          | 34,356          |
| Tax effect of income not taxable                                                            | (4,776)        | (30,154)         | (4,776)        | (27,083)        |
| Share of associate's tax recognized as net                                                  | (28,159)       | 1,869            | -              | -               |
| Prior year under provision of current tax                                                   | 347            | 331              | -              | 336             |
| Prior year over provision of deferred tax                                                   | (60,688)       | (21,467)         | (60,384)       | (21,336)        |
| Taxation charge/(credit)                                                                    | <u>202,236</u> | <u>(68,258)</u>  | <u>83,881</u>  | <u>(17,412)</u> |

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

|                                           | GROUP          |                | COMPANY        |                |
|-------------------------------------------|----------------|----------------|----------------|----------------|
|                                           | 2016<br>Sh'000 | 2015<br>Sh'000 | 2016<br>Sh'000 | 2015<br>Sh'000 |
| 9 TAXATION (Continued)                    |                |                |                |                |
| (c) CORPORATE TAX MOVEMENT                |                |                |                |                |
| At beginning of the year:                 |                |                |                |                |
| Taxation recoverable                      | (161,175)      | (106,616)      | (96,526)       | (55,602)       |
| Taxation charge                           | 210,292        | 61,046         | 74,736         | 27,474         |
| Prior year under provision of current tax | 347            | 331            | -              | 336            |
| Taxation paid                             | (23,579)       | (115,936)      | (22,289)       | (68,734)       |
| At end of the year                        | 25,885         | (161,175)      | (44,079)       | (96,526)       |
| Consisting of:                            |                |                |                |                |
| Tax payable                               | 73,510         | -              | -              | -              |
| Tax recoverable                           | (47,625)       | (161,175)      | (44,079)       | (96,526)       |
|                                           | 25,885         | (161,175)      | (44,079)       | (96,526)       |

### 10 PROFIT FOR THE YEAR - COMPANY

The company profit for the year of Sh 394,152,000 (2015: Sh 5,130,000) has been dealt with in the separate financial statements of Williamson Tea Kenya Limited.

### 11 EARNINGS/(LOSS) PER SHARE

Earnings/(loss) per share is calculated by dividing the profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

|                                                   | 2016       | 2015       |
|---------------------------------------------------|------------|------------|
| <b>Earnings/(loss)</b>                            |            |            |
| Earnings/(loss) for purposes of basic and diluted |            |            |
| Earnings/(loss) per share (Sh'000)                | 705,805    | (208,107)  |
| <b>Weighted average number of ordinary shares</b> |            |            |
| At start of year                                  | 8,756,320  | 8,756,320  |
| Effect of bonus shares issued                     | 8,756,320  | 8,756,320  |
| Number of ordinary shares (note 25)               | 17,512,640 | 17,512,640 |
| <b>Earnings/(loss) per share</b>                  |            |            |
| Basic and diluted (Sh)                            | 40.30      | (11.88)    |

During the year, the company issued bonus shares in the ratio of one bonus share for every one share held. The bonus issue was approved by way of ordinary resolution at the last Annual General Meeting. Because the bonus issue was without consideration, it is treated as if it occurred before the beginning of 2015, the earliest period presented, for purposes of determining earnings per share.

There were no potentially dilutive shares outstanding at 31 March 2016 and at 31 March 2015. Diluted earnings/(loss) per share is therefore same as basic earnings/(loss) per share.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 12 PROPOSED DIVIDENDS

The Group did not pay an interim dividend in 2016 (2015 - Sh nil).

In respect of the current year, the Directors propose that a dividend of Sh 20 per share (2015 – Sh 40 per share) amounting to a total of Sh 350,252,800 (2015 – Sh 350,252,800) be paid to shareholders. This dividend is subject to approval by shareholders at the Annual General Meeting and has therefore not been included as a liability in these financial statements.

### 13 PROPERTY, PLANT AND EQUIPMENT

#### GROUP

|                                     | Land and<br>buildings<br>Sh 000 | Machinery<br>and<br>equipment<br>Sh 000 | Tractors<br>and<br>accessories<br>Sh 000 | Motor<br>vehicles<br>Sh 000 | Office<br>equipment<br>furniture<br>and<br>fittings<br>Sh 000 | Computers<br>Sh 000 | Work in<br>progress<br>Sh 000 | Total<br>Sh 000  |
|-------------------------------------|---------------------------------|-----------------------------------------|------------------------------------------|-----------------------------|---------------------------------------------------------------|---------------------|-------------------------------|------------------|
| <b>COST OR<br/>VALUATION</b>        |                                 |                                         |                                          |                             |                                                               |                     |                               |                  |
| At 1 April 2014                     | 1,250,042                       | 629,576                                 | 92,605                                   | 98,146                      | 40,238                                                        | 44,827              | 215,445                       | 2,370,879        |
| Additions                           | 16,064                          | 66,516                                  | 6,700                                    | 4,034                       | 710                                                           | 2,377               | 111,629                       | 208,030          |
| Disposals                           | (3,981)                         | (12,323)                                | (3,763)                                  | (4,919)                     | (634)                                                         | (619)               | -                             | (26,239)         |
| Transfer from<br>work in progress   | 6,894                           | 34,300                                  | -                                        | -                           | -                                                             | -                   | (41,194)                      | -                |
| Reclassifications                   | 374                             | 220,381                                 | -                                        | -                           | 226                                                           | -                   | (224,446)                     | (3,465)          |
| Transfers                           | -                               | (370,271)                               | -                                        | -                           | 370,271                                                       | -                   | -                             | -                |
| Surplus/(deficit)<br>on revaluation | 7,183                           | (84,045)                                | -                                        | -                           | -                                                             | -                   | -                             | (76,862)         |
| <b>At 31 March 2015</b>             | <b>1,276,576</b>                | <b>484,134</b>                          | <b>95,542</b>                            | <b>97,261</b>               | <b>410,811</b>                                                | <b>46,585</b>       | <b>61,434</b>                 | <b>2,472,343</b> |
| Comprising:                         |                                 |                                         |                                          |                             |                                                               |                     |                               |                  |
| At valuation 2015                   | 1,267,684                       | 484,134                                 | -                                        | -                           | -                                                             | -                   | -                             | 1,751,818        |
| At cost                             | 8,892                           | -                                       | 95,542                                   | 97,261                      | 410,811                                                       | 46,585              | 61,434                        | 720,525          |
|                                     | <b>1,276,576</b>                | <b>484,134</b>                          | <b>95,542</b>                            | <b>97,261</b>               | <b>410,811</b>                                                | <b>46,585</b>       | <b>61,434</b>                 | <b>2,472,343</b> |
| <b>At 1 April 2015</b>              | <b>1,276,576</b>                | <b>484,134</b>                          | <b>95,542</b>                            | <b>97,261</b>               | <b>410,811</b>                                                | <b>46,585</b>       | <b>61,434</b>                 | <b>2,472,343</b> |
| Additions                           | 8,662                           | 33,913                                  | 13,616                                   | 452                         | 2,026                                                         | 2,804               | 40,445                        | 101,918          |
| Disposals                           | (4,433)                         | (1,215)                                 | (4,810)                                  | (701)                       | (402)                                                         | (333)               | -                             | (11,894)         |
| Transfer from<br>work in progress   | 2,044                           | 23,660                                  | 3,984                                    | -                           | -                                                             | -                   | (29,688)                      | -                |
| Reclassification                    | 2,092                           | 23,389                                  | -                                        | -                           | 280                                                           | -                   | (25,761)                      | -                |
| Transfers                           | -                               | 370,271                                 | -                                        | -                           | (370,271)                                                     | -                   | -                             | -                |
| <b>At 31 March 2016</b>             | <b>1,284,941</b>                | <b>934,152</b>                          | <b>108,332</b>                           | <b>97,012</b>               | <b>42,444</b>                                                 | <b>49,056</b>       | <b>46,430</b>                 | <b>2,562,367</b> |
| Comprising:                         |                                 |                                         |                                          |                             |                                                               |                     |                               |                  |
| At valuation -<br>2015              | 1,267,684                       | 484,134                                 | -                                        | -                           | -                                                             | -                   | -                             | 1,751,818        |
| At cost                             | 17,257                          | 450,018                                 | 108,332                                  | 97,012                      | 42,444                                                        | 49,056              | 46,430                        | 810,549          |
|                                     | <b>1,284,941</b>                | <b>934,152</b>                          | <b>108,332</b>                           | <b>97,012</b>               | <b>42,444</b>                                                 | <b>49,056</b>       | <b>46,430</b>                 | <b>2,562,367</b> |

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 13 PROPERTY, PLANT AND EQUIPMENT (Continued)

#### GROUP

|                                        | Land and<br>buildings<br>Sh 000 | Machinery<br>and<br>equipment<br>Sh 000 | Tractors<br>and<br>accessories<br>Sh 000 | Motor<br>vehicles<br>Sh 000 | Office<br>equipment<br>furniture<br>and<br>fittings<br>Sh 000 | Computers<br>Sh 000 | Work in<br>progress<br>Sh 000 | Total<br>Sh 000  |
|----------------------------------------|---------------------------------|-----------------------------------------|------------------------------------------|-----------------------------|---------------------------------------------------------------|---------------------|-------------------------------|------------------|
| <b>DEPRECIATION</b>                    |                                 |                                         |                                          |                             |                                                               |                     |                               |                  |
| At 1 April 2014                        | 226,189                         | 171,265                                 | 63,841                                   | 61,286                      | 19,969                                                        | 34,032              | -                             | 576,582          |
| Charge for the year                    | 76,704                          | 71,648                                  | 8,915                                    | 17,979                      | 2,740                                                         | 4,964               | -                             | 182,950          |
| Eliminated on disposal                 | (2,097)                         | (6,075)                                 | (3,763)                                  | (4,918)                     | (220)                                                         | (611)               | -                             | (17,684)         |
| Written back on<br>revaluation         | (295,478)                       | (156,502)                               | -                                        | -                           | -                                                             | -                   | -                             | (451,980)        |
| Transfers                              | -                               | (80,336)                                | -                                        | -                           | 80,336                                                        | -                   | -                             | -                |
| At 31 March 2015                       | 5,318                           | -                                       | 68,993                                   | 74,347                      | 102,825                                                       | 38,385              | -                             | 289,868          |
| At 1 April 2015                        | 5,318                           | -                                       | 68,993                                   | 74,347                      | 102,825                                                       | 38,385              | -                             | 289,868          |
| Charge for the year                    | 139,540                         | 97,201                                  | 11,191                                   | 13,020                      | 2,867                                                         | 4,393               | -                             | 268,212          |
| Eliminated on disposal                 | -                               | -                                       | (4,678)                                  | (702)                       | (402)                                                         | (334)               | -                             | (6,116)          |
| Transfers                              | -                               | 80,336                                  | -                                        | -                           | (80,336)                                                      | -                   | -                             | -                |
| At 31 March 2016                       | 144,858                         | 177,537                                 | 75,506                                   | 86,665                      | 24,954                                                        | 42,444              | -                             | 551,954          |
| <b>NET BOOK VALUE</b>                  |                                 |                                         |                                          |                             |                                                               |                     |                               |                  |
| At 31 March 2016                       | <u>1,140,083</u>                | <u>756,615</u>                          | <u>32,826</u>                            | <u>10,347</u>               | <u>17,490</u>                                                 | <u>6,612</u>        | <u>46,430</u>                 | <u>2,010,403</u> |
| At 31 March 2015                       | <u>1,271,258</u>                | <u>484,134</u>                          | <u>26,549</u>                            | <u>22,914</u>               | <u>307,986</u>                                                | <u>8,200</u>        | <u>61,434</u>                 | <u>2,182,475</u> |
| <b>NET BOOK VALUE<br/>(Cost basis)</b> |                                 |                                         |                                          |                             |                                                               |                     |                               |                  |
| At 31 March 2016                       | <u>5,521</u>                    | <u>402,957</u>                          | <u>32,826</u>                            | <u>10,347</u>               | <u>17,490</u>                                                 | <u>6,612</u>        | <u>46,430</u>                 | <u>522,183</u>   |
| At 31 March 2015                       | <u>7,395</u>                    | <u>-</u>                                | <u>26,549</u>                            | <u>22,914</u>               | <u>307,986</u>                                                | <u>8,200</u>        | <u>61,434</u>                 | <u>434,478</u>   |

Land, building and machinery were last revalued as at 31 March 2015 by Lloyd Masika Limited, Registered Valuers and Estate Agents, on the basis of open market value for the existing use.

Included in property, plant and equipment are assets with an original cost of S 237,133,409 (2015 - Sh 195,607,310) which are fully depreciated and whose normal depreciation charge for the year would have been Sh 40,601,484 (2015 - Sh 23,812,126).

Land and buildings with net book value of Sh 1,482,164,000 (2015 - Sh 1,482,164,000) have been charged to secure banking facilities granted to the Group as disclosed in note 29.

The capital work in progress comprises costs incurred in the construction and installation of plant and machinery at the tea estates.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

13 PROPERTY, PLANT AND EQUIPMENT (Continued)

COMPANY

|                                     | Land and<br>buildings<br>Sh'000 | Machinery<br>and<br>equipment<br>Sh'000 | Tractors<br>and<br>accessories<br>Sh'000 | Motor<br>vehicles<br>Sh'000 | Office<br>equipment<br>furniture<br>and<br>fittings<br>Sh'000 | Computers<br>Sh'000 | Work in<br>progress<br>Sh'000 | Total<br>Sh'000 |
|-------------------------------------|---------------------------------|-----------------------------------------|------------------------------------------|-----------------------------|---------------------------------------------------------------|---------------------|-------------------------------|-----------------|
| COST OR VALUATION                   |                                 |                                         |                                          |                             |                                                               |                     |                               |                 |
| At 1 April 2014                     | 795,925                         | 188,129                                 | 32,889                                   | 43,753                      | 27,119                                                        | 21,119              | 168,662                       | 1,277,596       |
| Additions                           | 2,980                           | 43,510                                  | 3,345                                    | 428                         | 503                                                           | 1,318               | 87,248                        | 139,332         |
| Disposals                           | (1,266)                         | -                                       | -                                        | (2,284)                     | -                                                             | (226)               | -                             | (3,776)         |
| Transfer from<br>work in progress   | -                               | 3,634                                   | -                                        | -                           | -                                                             | -                   | (3,634)                       | -               |
| Reclassification                    | 374                             | 219,929                                 | -                                        | -                           | 226                                                           | -                   | (224,446)                     | (3,917)         |
| Surplus/(deficit) on<br>revaluation | 34,766                          | (13,754)                                | -                                        | -                           | -                                                             | -                   | -                             | 21,012          |
| At 31 March 2015                    | 832,779                         | 441,448                                 | 36,234                                   | 41,897                      | 27,848                                                        | 22,211              | 27,830                        | 1,430,247       |
| Comprising:                         |                                 |                                         |                                          |                             |                                                               |                     |                               |                 |
| At valuation 2015                   | 829,885                         | 136,526                                 | -                                        | -                           | -                                                             | -                   | -                             | 966,411         |
| At cost                             | 2,894                           | 304,922                                 | 36,234                                   | 41,897                      | 27,848                                                        | 22,211              | 27,830                        | 463,836         |
| At 31 March 2015                    | 832,779                         | 441,448                                 | 36,234                                   | 41,897                      | 27,848                                                        | 22,211              | 27,830                        | 1,430,247       |
| At 1 April 2015                     | 832,779                         | 441,448                                 | 36,234                                   | 41,897                      | 27,848                                                        | 22,211              | 27,830                        | 1,430,247       |
| Additions                           | 1,334                           | 12,370                                  | 4,467                                    | 452                         | 1,378                                                         | 1,234               | 13,788                        | 35,023          |
| Disposals                           | (2,827)                         | (1,215)                                 | (2,105)                                  | (287)                       | -                                                             | -                   | -                             | (6,434)         |
| Reclassification                    | 2,092                           | 23,389                                  | -                                        | -                           | 280                                                           | -                   | (25,761)                      | -               |
| Transfer to related<br>companies    | -                               | -                                       | -                                        | -                           | -                                                             | -                   | (4,393)                       | (4,393)         |
| At 31 March 2016                    | 833,378                         | 475,992                                 | 38,596                                   | 42,062                      | 29,506                                                        | 23,445              | 11,464                        | 1,454,443       |
| Comprising:                         |                                 |                                         |                                          |                             |                                                               |                     |                               |                 |
| At valuation 2015                   | 829,885                         | 136,526                                 | -                                        | -                           | -                                                             | -                   | -                             | 966,411         |
| At cost                             | 3,493                           | 339,466                                 | 38,596                                   | 42,062                      | 29,506                                                        | 23,445              | 11,464                        | 488,032         |
| At 31 March 2016                    | 833,378                         | 475,992                                 | 38,596                                   | 42,062                      | 29,506                                                        | 23,445              | 11,464                        | 1,454,443       |

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 13 PROPERTY, PLANT AND EQUIPMENT (Continued)

#### COMPANY

|                                | Land and<br>buildings<br>Sh'000 | Machinery<br>and<br>equipment<br>Sh'000 | Tractors<br>and<br>accessories<br>Sh'000 | Motor<br>vehicles<br>Sh'000 | Office<br>equipment<br>furniture<br>and<br>fittings<br>Sh'000 | Computers<br>Sh'000 | Work in<br>progress<br>Sh'000 | Total<br>Sh'000 |
|--------------------------------|---------------------------------|-----------------------------------------|------------------------------------------|-----------------------------|---------------------------------------------------------------|---------------------|-------------------------------|-----------------|
| DEPRECIATION                   |                                 |                                         |                                          |                             |                                                               |                     |                               |                 |
| At 1 April 2014                | 112,726                         | 59,498                                  | 21,162                                   | 25,883                      | 9,712                                                         | 15,853              | -                             | 244,834         |
| Charge for the year            | 43,995                          | 23,490                                  | 2,751                                    | 8,620                       | 2,306                                                         | 2,585               | -                             | 83,747          |
| Eliminated on disposal         | (1,266)                         | -                                       | -                                        | (2,284)                     | -                                                             | (226)               | -                             | (3,776)         |
| Eliminated on<br>revaluation   | (154,227)                       | (53,731)                                | -                                        | -                           | -                                                             | -                   | -                             | (207,958)       |
| At 31 March 2015               | 1,228                           | 29,257                                  | 23,913                                   | 32,219                      | 12,018                                                        | 18,212              | -                             | 116,847         |
| At 1 April 2015                | 1,228                           | 29,257                                  | 23,913                                   | 32,219                      | 12,018                                                        | 18,212              | -                             | 116,847         |
| Charge for the year            | 53,129                          | 49,340                                  | 2,735                                    | 6,364                       | 2,454                                                         | 2,271               | -                             | 116,293         |
| Eliminated on disposal         | -                               | -                                       | (1,973)                                  | (287)                       | -                                                             | -                   | -                             | (2,260)         |
| At 31 March 2016               | 54,357                          | 78,597                                  | 24,675                                   | 38,296                      | 14,472                                                        | 20,483              | -                             | 230,880         |
| NET BOOK VALUE<br>(Valuation)  |                                 |                                         |                                          |                             |                                                               |                     |                               |                 |
| At 31 March 2016               | 779,021                         | 397,395                                 | 13,921                                   | 3,766                       | 15,034                                                        | 2,962               | 11,464                        | 1,223,563       |
| At 31 March 2015               | 831,551                         | 412,191                                 | 12,321                                   | 9,678                       | 15,830                                                        | 3,999               | 27,830                        | 1,313,400       |
| NET BOOK VALUE<br>(Cost basis) |                                 |                                         |                                          |                             |                                                               |                     |                               |                 |
| At 31 March 2016               | 381,508                         | 194,615                                 | 13,921                                   | 3,766                       | 15,034                                                        | 2,962               | 11,464                        | 623,270         |
| At 31 March 2015               | 399,835                         | 198,194                                 | 12,321                                   | 9,678                       | 15,830                                                        | 3,999               | 27,830                        | 667,687         |

Land, building and machinery were last revalued as at 31 March 2015 by Lloyd Masika Limited, Registered Valuers and Estate Agents, on the basis of open market value for the existing use.

Included in property, plant and equipment are assets with an original cost of Sh 45,190,955 (2015 - Sh 37,056,125) which are fully depreciated and whose normal depreciation charge for the year would have been Sh 10,643,432 (2015 - Sh 8,508,530).

Land, buildings and development with net book value of Sh 683,199,000 (2015 - Sh 683,199,000) have been charged to secure banking facilities granted to the company as disclosed in note 29.

The transfers to related companies relate to transfer of trinick sorters from Changoi to the other tea estates.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 13 PROPERTY, PLANT AND EQUIPMENT (Continued)

#### Fair value measurement of the Group's buildings and machinery and equipment

The Group's buildings and machinery and equipment are stated at their revalued amounts, being the fair values at the date of revaluation, less any subsequent accumulated depreciation and subsequent accumulated impairment losses. The fair value measurements of the Group's buildings and machinery & equipment as at 31 March 2015 was performed by Lloyd Masika Limited, registered and independent valuers. Lloyd Masika Limited are registered valuers with the Valuers Registration Board and they have appropriate qualifications and relevant and recent experience in the fair value measurement of properties in the various locations in Kenya. The fair value of buildings was determined by reference to market evidence of recent transactions for similar properties.

The fair value hierarchy prioritises the inputs used to measure fair value into three broad Levels (Levels 1, 2 and 3), moving from quoted prices in active markets in Level 1 to unobservable inputs in Level 3. The levels are as defined below:

- Level 1 inputs – observable, quoted prices for identical assets or liabilities in active markets.
- Level 2 inputs – quoted prices for similar assets or liabilities in active markets; quoted prices for identical or similar assets in markets that are not active; and inputs other than quoted prices e.g. interest rates and yield curves.
- Level 3 inputs – unobservable inputs for the asset or liability. These should be based on the best information available. The company should utilise all reasonably available information, but need not incur excessive cost or effort to do so. However, it should not ignore information that can be obtained without undue cost and effort. As such, the reporting entity's own data should be adjusted if information is reasonably available without undue cost and effort.

Details of the Group's buildings and machinery and equipment and information about fair value hierarchy as at 31 March 2016 are as follows:

|                         | Level<br>1<br>Sh'000 | Level<br>2<br>Sh '000 | Level<br>3<br>Sh'000 | Fair value as<br>at 31 March<br>Sh '000 |
|-------------------------|----------------------|-----------------------|----------------------|-----------------------------------------|
| <b>GROUP</b>            |                      |                       |                      |                                         |
| <b>31 March 2016</b>    |                      |                       |                      |                                         |
| Buildings               | -                    | 1,140,083             | -                    | 1,140,083                               |
| Machinery and equipment | -                    | 761,008               | -                    | 761,008                                 |
|                         | <u>-</u>             | <u>1,901,091</u>      | <u>-</u>             | <u>1,901,091</u>                        |
| <b>31 March 2015</b>    |                      |                       |                      |                                         |
| Buildings               | -                    | 1,271,258             | -                    | 1,271,258                               |
| Machinery and equipment | -                    | 484,134               | -                    | 484,134                                 |
|                         | <u>-</u>             | <u>1,755,392</u>      | <u>-</u>             | <u>1,755,392</u>                        |
| <b>COMPANY</b>          |                      |                       |                      |                                         |
| <b>31 March 2016</b>    |                      |                       |                      |                                         |
| Buildings               | -                    | 779,021               | -                    | 779,021                                 |
| Machinery and equipment | -                    | 397,395               | -                    | 397,395                                 |
|                         | <u>-</u>             | <u>1,176,416</u>      | <u>-</u>             | <u>1,176,416</u>                        |
| <b>31 March 2015</b>    |                      |                       |                      |                                         |
| Buildings               | -                    | 831,551               | -                    | 831,551                                 |
| Machinery and equipment | -                    | 412,191               | -                    | 412,191                                 |
|                         | <u>-</u>             | <u>1,243,742</u>      | <u>-</u>             | <u>1,243,742</u>                        |

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 13 PROPERTY, PLANT AND EQUIPMENT (Continued)

#### Fair value measurement of the Group's buildings and machinery and equipment (Continued)

There were no transfers between level 1 and level 2 during the year.

|                                          | GROUP          |                | COMPANY        |                |
|------------------------------------------|----------------|----------------|----------------|----------------|
|                                          | 2016<br>Sh'000 | 2015<br>Sh'000 | 2016<br>Sh'000 | 2015<br>Sh'000 |
| 14 INTANGIBLE ASSETS (COMPUTER SOFTWARE) |                |                |                |                |
| COST                                     |                |                |                |                |
| At beginning of year                     | 19,220         | 14,585         | 9,880          | 7,270          |
| Additions                                | 1,820          | 4,635          | 526            | 2,610          |
|                                          | <hr/>          | <hr/>          | <hr/>          | <hr/>          |
| At end of year                           | 21,040         | 19,220         | 10,406         | 9,880          |
|                                          | <hr/>          | <hr/>          | <hr/>          | <hr/>          |
| AMORTISATION                             |                |                |                |                |
| At beginning of year                     | 14,413         | 12,692         | 7,162          | 5,976          |
| Amortisation for the year                | 2,265          | 1,721          | 1,374          | 1,186          |
|                                          | <hr/>          | <hr/>          | <hr/>          | <hr/>          |
| At end of year                           | 16,678         | 14,413         | 8,536          | 7,162          |
|                                          | <hr/>          | <hr/>          | <hr/>          | <hr/>          |
| NET BOOK VALUE                           |                |                |                |                |
| At end beginning of year                 | 4,362          | 4,807          | 1,870          | 2,718          |
|                                          | <hr/>          | <hr/>          | <hr/>          | <hr/>          |
| 15 PREPAID OPERATING LEASES              |                |                |                |                |
| COST                                     |                |                |                |                |
| At beginning of year                     | 81,581         | 81,581         | 12,612         | 12,612         |
|                                          | <hr/>          | <hr/>          | <hr/>          | <hr/>          |
| AMORTISATION                             |                |                |                |                |
| At beginning of year                     | 4,955          | 4,871          | 879            | 866            |
| Amortisation for the year                | 84             | 84             | 13             | 13             |
|                                          | <hr/>          | <hr/>          | <hr/>          | <hr/>          |
| At end of year                           | 5,039          | 4,955          | 892            | 879            |
|                                          | <hr/>          | <hr/>          | <hr/>          | <hr/>          |
| NET BOOK VALUE                           |                |                |                |                |
| At end of year                           | 76,542         | 76,626         | 11,720         | 11,733         |
|                                          | <hr/>          | <hr/>          | <hr/>          | <hr/>          |

Prepaid operating leases relate to leasehold land located in Williamson Tea Kenya Limited Changoi Estate, Tinderet Tea Estates (1989) Limited and Kaimosi Tea Estates Limited. Leasehold land have been charged to secure banking facilities granted to the Group as disclosed in note 29. Leasehold land were last revalued as at 31 March 2015 by Lloyd Masika Ltd, Registered Valuers and Estate Agents, based on open market value.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 16 INVESTMENT PROPERTIES

|                          | GROUP & COMPANY   |                   |
|--------------------------|-------------------|-------------------|
|                          | 2016<br>Sh'000    | 2015<br>Sh'000    |
| <b>At fair value:</b>    |                   |                   |
| At beginning of year     | 405,000           | 380,000           |
| Fair value gain (note 5) | 15,000            | 25,000            |
|                          | <u>          </u> | <u>          </u> |
| At end of year           | 420,000           | 405,000           |
|                          | <u>          </u> | <u>          </u> |
| At cost basis            | 11,591            | 11,591            |
|                          | <u>          </u> | <u>          </u> |

Locations and details of the investment property are LR No 1160/197 and LR No 330/490 all located in the Nairobi area.

#### Fair value measurement of the Group's investment properties

The Group's Investments Property are stated at their revalued amounts, being the fair values at the date of revaluation, less any impairment losses. The fair value measurements of the Group's investment property as at 31 March 2016 were performed by Lloyd Masika Limited, Registered and independent Valuers and Estate Agents. Lloyd Masika Limited, are members of the Institute of Surveyors of Kenya and they have appropriate qualifications and relevant and recent experience in the fair value measurement of properties in the various locations in Kenya. The fair value of buildings was determined by reference to market evidence of recent transactions for similar properties. In estimating the fair value of the properties, the highest and best use of the properties is their current use.

Details of the Group's investment properties and information about fair value hierarchy as at 31 March 2016 are as follows:

|                                                      | Level<br>1<br>Sh'000 | Level<br>2<br>Sh'000 | Level<br>3<br>Sh'000 | Fair value as<br>At 31 March<br>Sh'000 |
|------------------------------------------------------|----------------------|----------------------|----------------------|----------------------------------------|
| <b>31 March 2016</b>                                 |                      |                      |                      |                                        |
| Investment property (all located in<br>Nairobi area) | -                    | 420,000              | -                    | 420,000                                |
|                                                      | <u>          </u>    | <u>          </u>    | <u>          </u>    | <u>          </u>                      |
| <b>31 March 2015</b>                                 |                      |                      |                      |                                        |
| Investment property (all located in<br>Nairobi area) | -                    | 405,000              | -                    | 405,000                                |
|                                                      | <u>          </u>    | <u>          </u>    | <u>          </u>    | <u>          </u>                      |

There were no transfers between level 1 and level 2 during the year.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 17 INVESTMENT IN ASSOCIATE COMPANY

|                                                                      | 2016<br>Sh'000 | 2015<br>Sh'000 |
|----------------------------------------------------------------------|----------------|----------------|
| <b>GROUP</b>                                                         |                |                |
| Kapchorua Tea Company Limited (Quoted) - 39.56% owned:               |                |                |
| At share of net assets                                               | 649,750        | 564,790        |
|                                                                      | =====          | =====          |
| The movement in Group investment in associate company is as follows: |                |                |
| At beginning of year                                                 | 564,790        | 546,249        |
| Share of profit/(loss) after taxation                                | 92,697         | (9,013)        |
| Share of gain on property revaluation                                | -              | 35,350         |
| Dividend received                                                    | (7,737)        | (7,796)        |
|                                                                      | =====          | =====          |
| At end of year                                                       | 649,750        | 564,790        |
|                                                                      | =====          | =====          |

### COMPANY

Kapchorua Tea Company Limited (Quoted);

39.56% owned:

|         |        |        |
|---------|--------|--------|
| At cost | 49,479 | 49,479 |
|         | =====  | =====  |

The details of the above associate company are as follows:

| Company                   | Share capital<br>Sh | Proportion of ownership interest and voting power held by the group |               | Place of Incorporation | Principal activity                       |
|---------------------------|---------------------|---------------------------------------------------------------------|---------------|------------------------|------------------------------------------|
|                           |                     | 31 March 2016                                                       | 31 March 2015 |                        |                                          |
| Kapchorua Tea Company Ltd | 19,560,000          | 39.56%                                                              | 39.56%        | Kenya                  | Cultivation, manufacture and sale of tea |
|                           | =====               | =====                                                               | =====         | =====                  | =====                                    |

The associate company is accounted for using the equity method in these consolidated financial statements.

The audited summarized financial information as of 31 March 2016 in respect of the associate company, Kapchorua Tea Company Limited is set out below:

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

17 INVESTMENT IN ASSOCIATE COMPANY (Continued)

|                                         | 2016<br>Sh'000    | 2015<br>Sh'000    |
|-----------------------------------------|-------------------|-------------------|
| Total assets                            | 2,329,151         | 1,983,239         |
| Total liabilities                       | (686,710)         | (555,560)         |
|                                         | <u>          </u> | <u>          </u> |
| Net assets                              | 1,642,441         | 1,427,679         |
|                                         | <u>          </u> | <u>          </u> |
| Group's share of the net assets         | 649,750           | 564,790           |
|                                         | <u>          </u> | <u>          </u> |
| Revenue                                 | 1,209,133         | 1,073,989         |
|                                         | <u>          </u> | <u>          </u> |
| Profit/(loss) before taxation           | 336,007           | (29,536)          |
| Taxation (charge)/credit                | (101,685)         | 6,751             |
|                                         | <u>          </u> | <u>          </u> |
| Profit/(loss) for the year              | 234,322           | (22,785)          |
|                                         | <u>          </u> | <u>          </u> |
| Total comprehensive income for the year | -                 | 66,574            |
|                                         | <u>          </u> | <u>          </u> |

18 INVESTMENT IN SUBSIDIARY COMPANIES

(a) **Unquoted investments at cost in wholly owned subsidiaries:**

|                             |                   |                   |
|-----------------------------|-------------------|-------------------|
| Kaimosi Tea Estates Limited | 2,863             | 2,863             |
| Williamson Power Limited    | 3,689             | 3,689             |
| Tea Properties Limited      | 2                 | 2                 |
| Lelsa Tea Estates Limited*  | -                 | -                 |
|                             | <u>          </u> | <u>          </u> |
|                             | 6,554             | 6,554             |
|                             | <u>          </u> | <u>          </u> |

(b) **Unquoted investment at cost in partially owned subsidiaries:**

|                                                    |                   |                   |
|----------------------------------------------------|-------------------|-------------------|
| Tinderet Tea Estates (1989) Limited<br>(82% owned) | 103,323           | 103,323           |
|                                                    | <u>          </u> | <u>          </u> |
|                                                    | 109,877           | 109,877           |
|                                                    | <u>          </u> | <u>          </u> |

\*Investment in Lelsa Tea Estates Limited is fully impaired.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 18 INVESTMENT IN SUBSIDIARY COMPANIES (Continued)

The details of the above subsidiary companies are as follows:

| <i>Company</i>                         | <i>Share capital<br/>Sh</i> | <i>Place of<br/>Incorporation<br/>and operation</i> | <i>Principal activity</i>                         | <i>Proportion of ownership<br/>interest and voting power<br/>held by the group</i> |                          |
|----------------------------------------|-----------------------------|-----------------------------------------------------|---------------------------------------------------|------------------------------------------------------------------------------------|--------------------------|
|                                        |                             |                                                     |                                                   | <i>31 March<br/>2016</i>                                                           | <i>31 March<br/>2015</i> |
| Kaimosi Tea Estates<br>Limited         | 2,540,000                   | Kenya                                               | Cultivation, manufacture<br>and sale of tea       | 100%                                                                               | 100%                     |
| Williamson Power<br>Limited            | 2,880,000                   | Kenya                                               | Sale, installation and<br>servicing of generators | 100%                                                                               | 100%                     |
| Tea Properties<br>Limited              | 2,000                       | Kenya                                               | Property investment                               | 100%                                                                               | 100%                     |
| Lelsa Tea Estates<br>Limited           | 4,000,000                   | Kenya                                               | Dormant company                                   | 100%                                                                               | 100%                     |
| Tinderet Tea Estates<br>(1989) Limited | 100,000                     | Kenya                                               | Cultivation, manufacture<br>and sale of tea       | 82%                                                                                | 82%                      |
| =====                                  | =====                       | =====                                               | =====                                             | =====                                                                              | =====                    |

The proportion of voting rights in the subsidiaries undertakings held directly by the parent company do not differ from the proportion of ordinary shares held. The directors of the Group concluded that the parent company has control over the subsidiary companies.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 18 INVESTMENT IN SUBSIDIARY COMPANIES (Continued)

#### Summarised financial information on subsidiaries with material non- controlling interest

The summarised financial information below represents amounts before intragroup eliminations.

#### Tinderet Tea Estates (1989) Limited As at 31 March

|                                                         | 2016<br>Sh'000 | 2015<br>Sh'000 |
|---------------------------------------------------------|----------------|----------------|
| Assets                                                  | 1,991,096      | 1,746,174      |
| Liabilities                                             | 638,921        | 567,394        |
| Equity attributable to the owners of the company        | 1,352,175      | 1,178,779      |
| Non-controlling interest                                | 18%            | 18%            |
| Revenue                                                 | 973,833        | 794,691        |
| Expenses                                                | (714,970)      | (946,563)      |
| Profit/(loss) for the year                              | 258,863        | (151,872)      |
| Profit/(loss) attributable to the owners of the company | 147,618        | (106,129)      |
| Profit/(loss) attributable to non-controlling interest  | 32,404         | (19,529)       |
|                                                         | 180,022        | (171,401)      |
| Dividends paid to non-controlling interest              | 1,193          | 6,494          |
| Net cash inflow/(outflow) from operating activities     | 144,581        | (24,687)       |
| Net cash outflow from investing activities              | (44,603)       | (32,706)       |
| Net cash outflow from financing activities              | (41,626)       | (1,075)        |
| Net cash inflow/(outflow)                               | 58,352         | (58,468)       |

WILLIAMSON TEA KENYA LIMITED  
NOTES TO THE FINANCIAL STATEMENTS (Continued)

2016

2015

Sh'000

Sh'000

19

UNQUOTED INVESTMENTS

Available for sale: At cost

GROUP

999,326 (2015 – 999,326) shares of

Sh 10 each in Kenya Tea Packers Limited

1,349

1,349

=====

=====

COMPANY

403,545 (2015 – 403,545) shares of

Sh 10 each in Kenya Tea Packers Limited

546

546

=====

=====

20

BIOLOGICAL ASSETS

GROUP

30 June 2016

Tea bushes

Sh'000

Timber trees

Sh'000

Fuel trees

Sh'000

Total

Sh'000

Carrying amount at beginning of year

1,967,570

173,433

433,059

2,574,062

Expenditure on biological assets

21,524

773

5,694

27,991

Decrease due to harvest

-

-

(1,534)

(1,534)

Net expenditure on biological assets

21,524

773

4,160

26,457

1,989,094

174,206

437,861

2,601,161

Gains arising from changes in fair value

attributable to physical changes

59,769

5,214

72,276

137,259

Gains/(losses) arising from changes in fair

value attributable to price changes

74,358

-

-

74,358

Disposals

-

-

(37,571)

(37,571)

Net fair value gains

134,127

5,214

34,705

174,046

Carrying amount at end of year

2,123,221

179,420

471,924

2,774,565

COMPANY

Carrying amount at beginning of year

774,337

61,486

168,007

1,003,830

Increase in actual cost of biological assets

7,062

-

1,356

8,418

Decrease due to harvest

-

-

(892)

(892)

Net expenditure on biological assets

7,062

-

464

7,526

781,339

61,486

168,471

1,011,356

Gains/(losses) arising from changes in fair

value attributable to physical changes

2,109

(2,644)

34,043

33,508

Gains/(losses) arising from changes in fair

value attributable to price changes

124,456

-

-

124,456

Disposals

-

-

(14,974)

(14,974)

Net fair value gains/(losses)

126,565

(2,644)

19,069

142,990

Carrying amount at end of year

907,964

58,842

187,540

1,154,346

WILLIAMSON TEA KENYA LIMITED  
NOTES TO THE FINANCIAL STATEMENTS (Continued)

20 BIOLOGICAL ASSETS (Continued)

**GROUP**

**30 June 2015**

|                                                                                 | Tea bushes<br>Sh'000 | Timber trees<br>Sh'000 | Fuel trees<br>Sh'000 | Total<br>Sh'000  |
|---------------------------------------------------------------------------------|----------------------|------------------------|----------------------|------------------|
| Carrying amount at beginning of year                                            | 2,429,827            | 177,112                | 412,320              | 3,019,259        |
| Expenditure on biological assets                                                | 20,138               | 906                    | 6,284                | 27,328           |
| Decrease due to harvest                                                         | -                    | (186)                  | (657)                | (843)            |
| Net expenditure on biological assets                                            | 20,138               | 720                    | 5,627                | 26,485           |
|                                                                                 | 2,449,965            | 177,832                | 417,947              | 3,045,744        |
| Gains arising from changes in fair value attributable to physical changes       | (29,940)             | 3,627                  | 38,486               | 12,173           |
| (Losses)/gains arising from changes in fair value attributable to price changes | (452,452)            | -                      | -                    | (452,452)        |
| Disposals                                                                       | -                    | (8,026)                | (23,377)             | (31,403)         |
| Net fair value (losses)/gains                                                   | (482,392)            | (4,399)                | 15,109               | (471,682)        |
| Carrying amount at end of year                                                  | <u>1,967,573</u>     | <u>173,433</u>         | <u>433,056</u>       | <u>2,574,062</u> |

**COMPANY**

|                                                                                    |                |               |                |                  |
|------------------------------------------------------------------------------------|----------------|---------------|----------------|------------------|
| Carrying amount at beginning of year                                               | 1,002,659      | 62,417        | 161,344        | 1,226,420        |
| Increase in actual cost of biological assets                                       | 11,628         | -             | 1,407          | 13,035           |
| Decrease due to harvest                                                            | -              | (186)         | (657)          | (843)            |
| Net expenditure on biological assets                                               | 11,628         | (186)         | 750            | 12,192           |
|                                                                                    | 1,014,287      | 62,231        | 162,094        | 1,238,612        |
| (Losses)/gains arising from changes in fair value attributable to physical changes | (60,826)       | 7,281         | 15,029         | (38,516)         |
| (Losses)/gains arising from changes in fair value attributable to price changes    | (179,124)      | -             | -              | (179,124)        |
| Disposals                                                                          | -              | (8,026)       | (9,116)        | (17,142)         |
| Net fair value (losses)/gains                                                      | (239,950)      | (745)         | 5,913          | (234,782)        |
| Carrying amount at end of year                                                     | <u>774,337</u> | <u>61,486</u> | <u>168,007</u> | <u>1,003,830</u> |

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 20 BIOLOGICAL ASSETS (Continued)

Significant assumptions made in determining the fair values of biological assets are:

- Tea bushes are considered to be productive for an estimated period of 30 years from the year of first harvest. After an average of 30 years of production, the yields become sub-optimal and are uprooted and replaced.
- The expected market price of tea will remain constant, based on the dollar average price for the last five years and the ruling rate of exchange at year end. Firewood and timber prices are also expected to remain constant.
- Based on the biological transformation which the tea bushes and tea leaf undergo, 60% of future cash flows less point of sale costs and tea processing income are discounted to determine the fair value of mature tea bushes. The remaining 40% of net market value is assigned to regeneration of tea leaf.
- Discount rate applied to discount the expected net cash flows arising from the asset was 14.8% per annum (2015 – 14.8%).
- Point-of-sale and tea-processing costs are the same as in 2015 except where there are material projected changes in operational procedures.
- The maturity period of firewood and timber trees is between 5 and 25 years depending on the species of the tree.

|                                           | GROUP            |                  | COMPANY        |                |
|-------------------------------------------|------------------|------------------|----------------|----------------|
|                                           | 2016<br>Sh'000   | 2015<br>Sh'000   | 2016<br>Sh'000 | 2015<br>Sh'000 |
| <b>21 INVENTORIES</b>                     |                  |                  |                |                |
| Tea stocks                                | 618,458          | 315,378          | 211,593        | 142,848        |
| Firewood                                  | 18,349           | 27,222           | 5,711          | 5,658          |
| Stores                                    | 119,801          | 108,474          | 38,614         | 54,087         |
| Other inventories                         | 1,866            | 984              | -              | -              |
| Consumables                               | 337              | 314              | 337            | 314            |
|                                           | <u>758,811</u>   | <u>452,372</u>   | <u>256,255</u> | <u>202,907</u> |
| <b>22 TRADE AND OTHER RECEIVABLES</b>     |                  |                  |                |                |
| Trade                                     | 921,393          | 869,276          | 303,404        | 304,227        |
| Staff                                     | 104,896          | 87,187           | 88,131         | 71,574         |
| VAT recoverable                           | 187,906          | 171,834          | 89,891         | 95,669         |
| Other                                     | 73,367           | 14,245           | 55,037         | 8,165          |
|                                           | <u>1,287,562</u> | <u>1,142,542</u> | <u>536,463</u> | <u>479,635</u> |
| <b>23 BALANCES WITH RELATED COMPANIES</b> |                  |                  |                |                |
| (a) DUE FROM ASSOCIATE COMPANIES          |                  |                  |                |                |
| Kapchorua Tea Company Limited             | <u>12,720</u>    | <u>-</u>         | <u>12,661</u>  | <u>9,414</u>   |

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

|    |                                             | 2016<br>Sh'000 | 2015<br>Sh'000 |
|----|---------------------------------------------|----------------|----------------|
| 23 | BALANCES WITH RELATED COMPANIES (Continued) |                |                |
|    | (b) DUE FROM SUBSIDIARY COMPANIES           |                |                |
|    | <b>COMPANY</b>                              |                |                |
|    | Kaimosi Tea Estates Limited                 | 55,596         | 38,214         |
|    | Tinderet Tea Estates (1989) Limited         | 36,546         | 62,598         |
|    |                                             | <u>92,142</u>  | <u>100,812</u> |
|    |                                             | =====          | =====          |
|    | (c) LOANS TO SUBSIDIARIES                   |                |                |
|    | Kaimosi Tea Estates Limited                 | -              | 14,000         |
|    | Tinderet Tea Estates (1989) Limited         | -              | 93,000         |
|    |                                             | <u>-</u>       | <u>107,000</u> |
|    |                                             | =====          | =====          |
|    | (d) DUE TO SUBSIDIARY COMPANIES             |                |                |
|    | <b>COMPANY</b>                              |                |                |
|    | Tea Properties Limited                      | 21,608         | 22,016         |
|    | Williamson Power Limited                    | 957            | 658            |
|    |                                             | <u>22,565</u>  | <u>22,674</u>  |
|    |                                             | =====          | =====          |
|    | (e) DUE TO ASSOCIATE COMPANY – GROUP        |                |                |
|    | Kapchorua Tea Company Limited               | -              | 6,371          |
|    |                                             | =====          | =====          |
|    | (f) TERMS OF THE RELATED PARTY BALANCES     |                |                |

The above related party balances are interest free, unsecured and have no fixed repayment period.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

|                                           | GROUP          |                | COMPANY        |                |
|-------------------------------------------|----------------|----------------|----------------|----------------|
|                                           | 2016<br>Sh'000 | 2015<br>Sh'000 | 2016<br>Sh'000 | 2015<br>Sh'000 |
| 24 SHORT TERM DEPOSITS – Held to maturity |                |                |                |                |
| At amortised cost                         |                |                |                |                |
| Maturing within 90 days                   |                |                |                |                |
| NIC Bank Limited                          | 557,323        | 319,828        | 535,735        | 319,828        |
| Bank of Africa Limited                    | 218,008        | 338,948        | 218,008        | 338,948        |
|                                           | <hr/>          | <hr/>          | <hr/>          | <hr/>          |
| At 31 March                               | <u>775,331</u> | <u>658,776</u> | <u>753,743</u> | <u>658,776</u> |

The effective interest rates on fixed deposits at 31 March 2016 were as shown below:

|                        | 2016<br>Sh'000 | 2015<br>Sh'000 |
|------------------------|----------------|----------------|
| NIC Bank Limited       | 13%            | 12%            |
| Bank of Africa Limited | 13%            | 12%            |
|                        | <hr/>          | <hr/>          |

## 25 SHARE CAPITAL

### Authorised:

17,512,640 shares of Sh 5 each

|        |        |
|--------|--------|
| 87,563 | 87,563 |
| <hr/>  | <hr/>  |

### Issued and fully paid:

17,512,640 (2015: 8,756,320) shares of Sh 5 each

|        |        |
|--------|--------|
| 87,563 | 43,782 |
| <hr/>  | <hr/>  |

On 19 November 2015 a bonus issue of 1:1 was issued. As a result, 3,912,000 ordinary shares at a par value of Sh. 5 per share were issued. The movement in the number of shares is analysed as follows:

|                            | 2016<br>No of shares<br>'000 | 2015<br>No of shares<br>'000 |
|----------------------------|------------------------------|------------------------------|
| 1 January                  | 43,782                       | 43,782                       |
| Issue of additional shares | 43,781                       | -                            |
|                            | <hr/>                        | <hr/>                        |
| At end of period/year      | <u>87,563</u>                | <u>43,782</u>                |

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 26 NON – CONTROLLING INTERESTS

|                                                            | 2016<br>Sh'000 | 2015<br>Sh'000 |
|------------------------------------------------------------|----------------|----------------|
| At beginning of year                                       | 187,980        | 214,003        |
| Share of (loss)/profit - arising from operating activities | 21,770         | 3,141          |
| - arising from changes in biological assets                | 10,634         | (22,670)       |
|                                                            | 32,404         | (19,529)       |
| Dividend paid by Tinderet Tea Estates (1989) Limited       | (1,193)        | (6,494)        |
| At 31 end of year                                          | 219,191        | 187,980        |
| <b>Represented by:</b>                                     |                |                |
| Holding in Tinderet Tea Estates (1989) Limited             | 18.00%         | 18.00%         |

### 27 DEFERRED TAXATION

Deferred income taxes are calculated on all temporary differences under the liability method using the enacted tax rate of 30%.

|                                                                             | <b>GROUP</b>   |                | <b>COMPANY</b> |                |
|-----------------------------------------------------------------------------|----------------|----------------|----------------|----------------|
|                                                                             | 2016<br>Sh'000 | 2015<br>Sh'000 | 2016<br>Sh'000 | 2015<br>Sh'000 |
| The net deferred taxation liability is attributable to the following items: |                |                |                |                |
| <b>Deferred tax liabilities:</b>                                            |                |                |                |                |
| Accelerated capital allowances                                              | 458,864        | 659,193        | 279,745        | 377,720        |
| Revaluation of investment properties                                        | 4,500          | 7,500          | 4,500          | 7,500          |
| Revaluation surplus – property and equipment                                | 238,662        | 112,535        | 124,149        | 68,691         |
| Fair value adjustments - biological assets                                  | 643,490        | 591,276        | 265,974        | 223,077        |
| Unrealised exchange gains                                                   | -              | 266            | -              | 172            |
|                                                                             | 1,345,516      | 1,370,770      | 674,368        | 677,160        |
| <b>Deferred taxation assets:</b>                                            |                |                |                |                |
| Unrealised exchange losses                                                  | (4,161)        | (5,696)        | (17,667)       | (5,230)        |
| Service gratuity provision                                                  | (78,486)       | (68,299)       | (29,073)       | (25,367)       |
| Leave pay provision                                                         | (9,553)        | (7,478)        | (5,148)        | (3,833)        |
| Inventories general provision                                               | (17,292)       | (12,382)       | (13,138)       | (10,624)       |
| Doubtful debts provision                                                    | (251)          | (4,411)        | -              | -              |
| Tax losses available for future relief                                      | (4,073)        | (32,401)       | -              | (31,909)       |
|                                                                             | (113,816)      | (130,667)      | (65,026)       | (76,963)       |
| <b>Net deferred taxation liability</b>                                      | 1,231,700      | 1,240,103      | 609,342        | 600,197        |

As at 31 March 2016, the Group had accumulated tax losses of Sh 13,577,000 relating to Williamson Power Limited. As at 31 March 2015, the Group had accumulated tax losses of Sh 1,640,000 relating to Williamson Power Limited and Sh 106,363,000 relating to Williamson Tea Kenya Limited.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

27 DEFERRED INCOME TAXATION (Continued)

The movement on the deferred taxation account is as follows:

|                                                                                        | GROUP            |                  | COMPANY        |                |
|----------------------------------------------------------------------------------------|------------------|------------------|----------------|----------------|
|                                                                                        | 2016             | 2015             | 2016           | 2015           |
|                                                                                        | Sh'000           | Sh'000           | Sh'000         | Sh'000         |
| At beginning of year                                                                   | 1,240,103        | 1,257,203        | 600,197        | 576,813        |
| Taxation charge/(credit) (note 9a)                                                     |                  |                  |                |                |
| -current year charge/(credit)                                                          | 52,285           | (108,168)        | 69,529         | (23,886)       |
| -Prior year over provision                                                             | (60,688)         | (21,467)         | (60,384)       | (21,336)       |
| Deferred taxation on revaluation surplus dealt with through other comprehensive income | -                | 112,535          | -              | 68,606         |
| At end of year                                                                         | <u>1,231,700</u> | <u>1,240,103</u> | <u>609,342</u> | <u>600,197</u> |

|                               | GROUP          |                | COMPANY       |               |
|-------------------------------|----------------|----------------|---------------|---------------|
|                               | 2016           | 2015           | 2016          | 2015          |
|                               | Sh'000         | Sh'000         | Sh'000        | Sh'000        |
| 28 SERVICE GRATUITY PROVISION |                |                |               |               |
| At beginning of year          | 227,662        | 198,826        | 84,557        | 75,104        |
| Provision during the year     | 49,881         | 42,797         | 18,289        | 13,590        |
| Payments in the year          | (15,925)       | (13,961)       | (5,937)       | (4,137)       |
| At end of year                | <u>261,618</u> | <u>227,662</u> | <u>96,909</u> | <u>84,557</u> |

29 BORROWINGS

a) Loans

|                    |                |                |                |                |
|--------------------|----------------|----------------|----------------|----------------|
| 2016               |                |                |                |                |
| Asset finance loan | <u>205,766</u> | <u>231,265</u> | <u>205,766</u> | <u>231,265</u> |

The borrowings are repayable as follows:

|                                   |                |                |                |                |
|-----------------------------------|----------------|----------------|----------------|----------------|
| On demand and within one year     | 65,743         | 43,772         | 65,743         | 43,772         |
| On demand and within 2 to 5 years | 140,023        | 187,493        | 140,023        | 187,493        |
|                                   | <u>205,766</u> | <u>231,265</u> | <u>205,766</u> | <u>231,265</u> |

Analysis of borrowings by currency

| GROUP              | Borrowings<br>in KES<br>Sh'000 | Borrowings<br>in USD<br>Sh'000 | Total<br>Sh'000 |
|--------------------|--------------------------------|--------------------------------|-----------------|
| 2016               |                                |                                |                 |
| Asset finance loan | <u>-</u>                       | <u>205,766</u>                 | <u>205,766</u>  |
| 2015               |                                |                                |                 |
| Asset finance loan | <u>-</u>                       | <u>231,265</u>                 | <u>231,265</u>  |

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 29 BORROWINGS (Continued)

#### b) Interest rates

|                                                               | 2016          | 2015          |
|---------------------------------------------------------------|---------------|---------------|
| The average interest rates paid by the Group were as follows: |               |               |
| Asset finance Loan- US\$                                      | 7.5%<br>===== | 7.5%<br>===== |

#### c) Details of securities for loans and bank overdrafts

The loan facilities with Barclays Bank of Kenya Limited are secured by:

#### GROUP

1. Joint and several debentures between Kaimosi Tea Estates Limited and Williamson Tea Kenya Limited to Barclays Bank of Kenya Limited stamped and registered to cover Sh 104 million.
2. Legal mortgage over LR Nos. 1892, 1893, 1894, 1895, 1896 and 1899 (Kaimosi Tea Estates) registered and stamped to cover Sh 104 million supplemental to the debenture.
3. Fixed and Floating debenture in the bank's standard form covering the assets of Kaimosi tea Estates ltd, Williamson Tea Kenya Ltd and Tea Properties Ltd registered and stamped to cover Sh 318,876,140
4. Charge over Property Title No. 1989 Kaimosi, 1896 Kaimosi, 1895 Kaimosi, 1894 Kaimosi, 1899 Kaimosi and 1892 Kaimosi in the name of Kaimosi Tea Estates Ltd registered and stamped to cover Sh 318,676,140

#### COMPANY

1. Joint and several debentures between Kaimosi Tea Estates Limited and Williamson Tea Kenya Limited to Barclays Bank of Kenya Limited stamped and registered to cover KSh 104 million.
2. Legal mortgage over LR Nos. 1892, 1893, 1894, 1895, 1896 and 1899 (Kaimosi Tea Estates) registered and stamped to cover KSh 104 million supplemental to the debenture.
3. Fixed and Floating debenture in the bank's standard form covering the assets of Kaimosi tea Estates ltd, Williamson Tea Kenya Ltd and Tea Properties Ltd registered and stamped to cover Sh 318,876,140
4. Charge over Property Title No. 1989 Kaimosi, 1896 Kaimosi, 1895 Kaimosi, 1894 Kaimosi, 1899 Kaimosi and 1892 Kaimosi in the name of Kaimosi Tea Estates Ltd registered and stamped to cover Sh 318,676,140

#### d) Undrawn facilities

The Group had undrawn committed borrowing facilities with various bankers amounting to Sh 264,437,000 (2015 – Sh 203,798,000). The borrowing facilities consist of loans, bank overdrafts, letters of credit and guarantees.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

|     | GROUP                                                                             |                | COMPANY        |                |
|-----|-----------------------------------------------------------------------------------|----------------|----------------|----------------|
|     | 2016<br>Sh'000                                                                    | 2015<br>Sh'000 | 2016<br>Sh'000 | 2015<br>Sh'000 |
| 30  | TRADE AND OTHER PAYABLES                                                          |                |                |                |
|     | Trade payables                                                                    | 112,546        | 68,673         | 41,778         |
|     | Leave provision                                                                   | 31,844         | 24,928         | 17,160         |
|     | Accruals                                                                          | 69,964         | 24,258         | -              |
|     | Other payables                                                                    | 328,559        | 147,954        | 145,979        |
|     |                                                                                   | <u>542,913</u> | <u>265,813</u> | <u>204,917</u> |
|     |                                                                                   | <u>=====</u>   | <u>=====</u>   | <u>=====</u>   |
| 31  | UNCLAIMED DIVIDENDS                                                               |                |                |                |
|     |                                                                                   |                | 2016<br>Sh'000 | 2015<br>Sh'000 |
|     | GROUP & COMPANY                                                                   |                |                |                |
|     | At beginning of the year                                                          |                | 4,308          | 2,001          |
|     | Declared in the year                                                              |                |                |                |
|     | - Final                                                                           |                | 350,253        | 61,294         |
|     | Dividends paid                                                                    |                | (354,561)      | (58,987)       |
|     | At end of year                                                                    |                | <u>-</u>       | <u>4,308</u>   |
|     |                                                                                   |                | <u>=====</u>   | <u>=====</u>   |
| 32  | NOTES TO THE CASH FLOW STATEMENT                                                  |                |                |                |
|     | GROUP                                                                             |                |                |                |
| (a) | Reconciliation of profit/(loss) before taxation to cash generated from operations |                |                |                |
|     | Profit/(loss) before taxation                                                     |                | 940,445        | (295,894)      |
|     | Adjustments for:                                                                  |                |                |                |
|     | Depreciation                                                                      |                | 268,212        | 182,950        |
|     | Amortisation of prepaid operating leases                                          |                | 84             | 84             |
|     | Amortisation of intangible assets                                                 |                | 2,265          | 1,721          |
|     | (Gain)/loss on disposal of plant and equipment                                    |                | (1,478)        | 4,047          |
|     | Share of results of associates                                                    |                | (132,924)      | 9,013          |
|     | Dividends received from other investments                                         |                | (628)          | (496)          |
|     | Fair value adjustment on biological assets                                        |                | (174,046)      | 471,682        |
|     | Fair value gain on investment properties                                          |                | (15,000)       | (25,000)       |
|     | Exchange differences on asset finance loans (note 32(b))                          |                | 22,390         | 15,489         |
|     | Interest paid                                                                     |                | 19,689         | 19,825         |
|     | Interest received                                                                 |                | (101,963)      | (90,370)       |
|     |                                                                                   |                | <u>867,273</u> | <u>293,051</u> |
|     | Working capital changes:                                                          |                |                |                |
|     | (Increase)/decrease in inventories                                                |                | (306,439)      | 83,865         |
|     | Increase in trade and other receivables                                           |                | (145,020)      | (282,531)      |
|     | Increase/(decrease) in trade and other payables                                   |                | 277,100        | (54,539)       |
|     | Movement in associate company balances                                            |                | (19,091)       | 10,905         |
|     | Increase in service gratuity provision                                            |                | 33,956         | 28,836         |
|     |                                                                                   |                | <u>707,779</u> | <u>79,587</u>  |
|     | Cash generated from operations                                                    |                | <u>707,779</u> | <u>79,587</u>  |

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

32 NOTES TO THE CASH FLOW STATEMENT (Continued)

**GROUP (continued)**

|                                               | 2016<br>Sh'000   | 2015<br>Sh'000 |
|-----------------------------------------------|------------------|----------------|
| (b) Analysis of changes in asset finance loan |                  |                |
| At beginning of year                          | 231,265          | 180,291        |
| Loan received                                 | -                | 52,608         |
| Asset finance loans repaid                    | (47,889)         | (17,123)       |
| Exchange losses (note 32(a))                  | 22,390           | 15,489         |
|                                               | <u>205,766</u>   | <u>231,265</u> |
| (c) Analysis of cash and cash equivalents     |                  |                |
| Cash and bank balances                        | 466,286          | 334,584        |
| Short term deposits (note 24)                 | 775,331          | 658,776        |
|                                               | <u>1,241,617</u> | <u>993,360</u> |

For the purpose of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months to maturity when acquired, less advances from banks repayable within three months from the date of the advance.

33 RELATED PARTY TRANSACTIONS

The Group transacts with the ultimate holding company, George Williamson & Co Limited and other companies which are also subsidiaries of George Williamson & Co Limited.

During the year, the following transactions were entered into with related parties:

|                                                                                    | 2016<br>Sh'000 | 2015<br>Sh'000 |
|------------------------------------------------------------------------------------|----------------|----------------|
| Sales through a related party (George Williamson & Co Limited – parent)            | -              | 488,530        |
| Royalties and licences (George Williamson & Co Limited – parent)                   | 99,908         | -              |
| Agency commission and charges received (Kapchorua Tea Company Limited – associate) | 47,790         | 42,288         |
| Agency fees - Cohen & Griffiths Limited                                            | -              | 14,656         |
| Green leaf purchases from Kapchorua Tea Company Limited                            | 11,821         | 8,468          |
|                                                                                    | <u>158,519</u> | <u>553,942</u> |

**Compensation of key management personnel**

The remuneration of directors and other members of key management during the period was as follows:

**Directors' emoluments**

|                                               |               |               |
|-----------------------------------------------|---------------|---------------|
| Salaries and benefits                         | 25,729        | 23,626        |
| Fees and allowances for services as directors | 13,591        | 4,084         |
|                                               | <u>39,320</u> | <u>27,710</u> |

**Key management remuneration**

|                             |               |               |
|-----------------------------|---------------|---------------|
| Salaries and other benefits | 74,054        | 76,577        |
|                             | <u>74,054</u> | <u>76,577</u> |

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

|                                   | GROUP           |                 | COMPANY         |                 |
|-----------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                   | 2016<br>Shs'000 | 2015<br>Shs'000 | 2016<br>Shs'000 | 2015<br>Shs'000 |
| 34 CAPITAL COMMITMENTS            |                 |                 |                 |                 |
| Authorised but not contracted for | 50,178          | 22,099          | 20,607          | 8,321           |
| Authorised and contracted for     | 230,289         | 221,890         | 112,399         | 92,163          |
|                                   | <u>280,467</u>  | <u>243,989</u>  | <u>133,006</u>  | <u>100,484</u>  |
|                                   | =====           | =====           | =====           | =====           |

Capital commitments include purchase of various machines for production purposes. The Group intends to finance these commitments from internally generated funds, asset financing from the banks and loans from overseas Shareholders.

### 35 OPERATING LEASE COMMITMENTS

#### *The Group as a lessee*

Property rental expense incurred during the year amounted to Sh 6,897,111 (2015 – Sh 4,338,640). At the end of the reporting period the Group had outstanding commitments under operating leases which fall due as follows:

|                                        | 2016<br>Sh'000 | 2015<br>Sh'000 |
|----------------------------------------|----------------|----------------|
| Within one year                        | 4,917          | 4,618          |
| In the second to fifth years inclusive | 1,248          | 6,166          |
|                                        | <u>6,166</u>   | <u>10,784</u>  |
|                                        | =====          | =====          |

#### *The Group as a lessor*

Property rental income earned during the year amounted to Sh 1,500,000 (2015 – Sh 2,988,000). At the end of the reporting period, the Group had contracted with tenants for the following future lease receivables.

|                                        | 2016<br>Sh'000 | 2015<br>Sh'000 |
|----------------------------------------|----------------|----------------|
| Within one year                        | 1,620          | 1,740          |
| In the second to fifth years inclusive | -              | 1,879          |
|                                        | <u>1,620</u>   | <u>3,619</u>   |
|                                        | =====          | =====          |

Leases are negotiated for an average term of six years for both residential properties and non-residential properties, and rentals are reviewed annually. The leases are cancellable with no penalty when the tenants give three months' notice to vacate the premises.

### 36 CONTINGENT LIABILITIES

The Group is exposed to various contingent liabilities in the normal course of business. The directors evaluate the status of these exposures on a regular basis based on advice from the company's legal advisors to assess the probability of the company incurring related liabilities. However, provisions are only made in the financial statements where, based on the directors' evaluation, a present obligation has been established.

The Collective Bargaining Agreement (CBA) expired in 2014 and a new agreement is yet to be signed as the negotiations had not been concluded as at 31 March 2016.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 36 CONTINGENT LIABILITIES (Continued)

The matter is presently in court and a determination had not been made by the time of approval of the financial statements. The directors have evaluated the factors under consideration, current and precedence, and made a provision of Ksh. 156,513,000 in respect of the potential liabilities arising from this matter.

### 37 CAPITAL MANAGEMENT

The Group manages its capital to ensure that it will be able to continue as a going concern while maximising the return to stakeholders through the optimisation of the debt and equity balance.

The capital structure of the Group consists of debt, which includes the borrowings disclosed in note 29, cash and cash equivalents and equity attributable to equity holders, comprising issued capital and retained earnings.

Consistent with others in the industry, the Group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital.

|                                 | GROUP       |           |
|---------------------------------|-------------|-----------|
|                                 | 2016        | 2015      |
|                                 | Sh          | Sh        |
| Share capital                   | 87,563      | 43,782    |
| Retained earnings               | 5,865,369   | 5,518,553 |
| Revaluation surplus             | 797,676     | 832,721   |
|                                 | <hr/>       | <hr/>     |
| Equity                          | 6,750,608   | 6,395,056 |
|                                 | <hr/>       | <hr/>     |
| Total borrowings                | 205,766     | 231,265   |
| Less: cash and cash equivalents | (1,241,617) | (993,360) |
|                                 | <hr/>       | <hr/>     |
| Net debt                        | (1,035,851) | (762,095) |
|                                 | <hr/>       | <hr/>     |
| Gearing                         | Nil         | Nil       |
|                                 | <hr/>       | <hr/>     |

### 38 FINANCIAL RISK MANAGEMENT

The Group's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance. Risk management is carried out by the finance department under policies approved by the Board of Directors. Finance department identifies, evaluates and hedges financial risks as appropriate. The Board guidance on the overall risk management, as well as director's policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, use of non-derivative financial instruments and investing excess liquidity.

#### Financial risks arising from use of financial instruments

The Group has exposure to the following risks due to its use of financial instruments;

- credit risk
- liquidity risk
- market risk

#### Credit risk

Credit risk is managed on a Group-wide basis. Credit risk arises from cash and cash equivalents, deposits with banks, as well as trade receivables. The credit risk on liquid funds and bank balances is limited because the counter parties are banks with high credit ratings assigned by international credit rating agencies. The Group management assesses the credit quality of each customer, taking into account its financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the Board. The utilisation of credit limits is regularly monitored. The Group has policies in place to ensure that sales are made to customers with an appropriate credit history.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

38 FINANCIAL RISK MANAGEMENT (continued)

**Financial risks arising from use of financial instruments (continued)**

*Credit risk (continued)*

The amount that best represents the Group's maximum exposure to credit risk as at 31 March 2016 is made up as follows:

|                            | Fully<br>performing<br>Sh'000 | Past due<br>Sh'000 | Impaired<br>Sh'000 | Total<br>Sh'000 |
|----------------------------|-------------------------------|--------------------|--------------------|-----------------|
| Trade receivables          | 917,761                       | 3,632              | 838                | 922,231         |
| Provision for impairment   | -                             | -                  | (838)              | (838)           |
|                            | <hr/>                         | <hr/>              | <hr/>              | <hr/>           |
|                            | 917,761                       | 3,632              | -                  | 921,393         |
| Short term deposits        | 775,331                       | -                  | -                  | 775,331         |
| Due from associate company | 12,720                        | -                  | -                  | 12,720          |
| Bank balances              | 466,286                       | -                  | -                  | 466,286         |
|                            | <hr/>                         | <hr/>              | <hr/>              | <hr/>           |
|                            | 2,172,098                     | 3,632              | -                  | 2,175,730       |
|                            | <hr/>                         | <hr/>              | <hr/>              | <hr/>           |

The amount that best represents the Group's maximum exposure to credit risk as at 31 March 2015 is made up as follows:

|                          | Fully<br>performing<br>Sh'000 | Past due<br>Sh'000 | Impaired<br>Sh'000 | Total<br>Sh'000 |
|--------------------------|-------------------------------|--------------------|--------------------|-----------------|
| Trade receivables        | 867,633                       | 1,643              | 4,519              | 873,795         |
| Provision for impairment | -                             | -                  | (4,519)            | (4,519)         |
|                          | <hr/>                         | <hr/>              | <hr/>              | <hr/>           |
|                          | 867,633                       | 1,643              | -                  | 869,276         |
| Short term deposits      | 658,776                       | -                  | -                  | 658,776         |
| Bank balances            | 328,226                       | -                  | -                  | 328,226         |
|                          | <hr/>                         | <hr/>              | <hr/>              | <hr/>           |
|                          | 1,854,635                     | 1,643              | -                  | 1,856,278       |
|                          | <hr/>                         | <hr/>              | <hr/>              | <hr/>           |

The customers under the fully performing category are paying their debts as they continue trading.

The receivables that are past due relate to trade receivables overdue by over 60 days. The receivables are not impaired and continue to be paid. The finance department is actively following these receivables. No collateral is held with respect to the debt. The debt that is overdue is not impaired and continues to be paid. The finance department is actively following this debt. The debt that is impaired has been fully provided for. However, the finance department are following up on the impaired debt.

*Liquidity risk*

Ultimate responsibility for liquidity risk management rests with the board of directors, which has built an appropriate liquidity risk management framework for the management of the Group's short, medium and long term funding and liquidity management requirements. The Group manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities.

The following table analyses the Group's financial liabilities that will be settled into relevant maturity groupings based on the remaining period at the end of the reporting period to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 38 FINANCIAL RISK MANAGEMENT (continued)

#### Financial risks arising from use of financial instruments (continued)

##### Liquidity risk (continued)

|                              | Up to<br>1 month<br>Sh'000 | 1-3<br>months<br>Sh'000 | 3-12<br>months<br>Sh'000 | 1-5<br>years<br>Sh'000 | Over<br>5 years<br>Sh'000 | Total<br>Sh'000 |
|------------------------------|----------------------------|-------------------------|--------------------------|------------------------|---------------------------|-----------------|
| <b>Financial liabilities</b> |                            |                         |                          |                        |                           |                 |
| At 31 March 2016             |                            |                         |                          |                        |                           |                 |
| Trade payables               | 112,546                    | -                       | -                        | -                      | -                         | 112,546         |
| Borrowings                   | -                          | -                       | 65,743                   | 140,023                | -                         | 205,766         |
|                              | <u>112,546</u>             | <u>-</u>                | <u>65,743</u>            | <u>140,023</u>         | <u>-</u>                  | <u>318,312</u>  |
| At 31 March 2015             |                            |                         |                          |                        |                           |                 |
| Trade payables               | 65,920                     | 271                     | 2,482                    | -                      | -                         | 68,673          |
| Due to associate company     | 6,371                      | -                       | -                        | -                      | -                         | 6,371           |
| Borrowings                   | -                          | -                       | 43,772                   | 187,493                | -                         | 231,265         |
|                              | <u>72,291</u>              | <u>271</u>              | <u>46,254</u>            | <u>187,493</u>         | <u>-</u>                  | <u>306,309</u>  |

##### Market risk

#### (i) Foreign exchange risk

The Group undertakes certain transactions denominated in foreign currencies. Exchange rate exposures are managed within approved policy parameters.

The carrying amounts of the Group's foreign currency denominated monetary assets and liabilities at the end of the reporting period are as follows:

|                              | USD<br>Sh'000  | GBP<br>Sh'000  | EURO<br>Sh'000 |
|------------------------------|----------------|----------------|----------------|
| <b>2016</b>                  |                |                |                |
| <b>Financial assets</b>      |                |                |                |
| Bank and cash balances       | 308,492        | 38,120         | 3,505          |
| Trade receivables            | 695,102        | 177,968        | 39,981         |
| <b>Financial liabilities</b> |                |                |                |
| Trade payables               | (30,483)       | (1,481)        | -              |
| Net exposure                 | <u>973,111</u> | <u>214,607</u> | <u>43,486</u>  |

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

38 FINANCIAL RISK MANAGEMENT (Continued)

*Market risk (Continued)*

(i) Foreign exchange risk (Continued)

|                              | USD<br>Sh'000  | GBP<br>Sh'000  | EURO<br>Sh'000 |
|------------------------------|----------------|----------------|----------------|
| <b>2015</b>                  |                |                |                |
| <b>Financial assets</b>      |                |                |                |
| Bank and cash balances       | 72,268         | 77,914         | 13,071         |
| Trade receivables            | 636,532        | 199,835        | 27,117         |
| <b>Financial liabilities</b> |                |                |                |
| Trade payables               | (1,498)        | -              | -              |
| Net exposure                 | <u>707,302</u> | <u>277,749</u> | <u>40,188</u>  |

*Foreign exchange risk – appreciation/depreciation of Ksh against other currencies by 1%*

The following sensitivity analysis shows how profit and equity would change if the market risk variables had been different at the end of the reporting period with all other variables held constant.

|                               | 2016<br>Sh'000      |                     | 2015<br>Sh'000      |                     |
|-------------------------------|---------------------|---------------------|---------------------|---------------------|
|                               | Effect on<br>profit | Effect on<br>equity | Effect on<br>profit | Effect on<br>equity |
| Currency - GB pounds          |                     |                     |                     |                     |
| + 1 percentage point movement | 986                 | 690                 | 379                 | 265                 |
| - 1 percentage point movement | (986)               | (690)               | (379)               | (265)               |
| Currency - US dollars         |                     |                     |                     |                     |
| + 1 percentage point movement | 312                 | 218                 | 653                 | 457                 |
| - 1 percentage point movement | (312)               | (218)               | (653)               | (457)               |
| Currency - Euro               |                     |                     |                     |                     |
| + 1 percentage point movement | 50                  | 35                  | 40                  | 28                  |
| - 1 percentage point movement | (50)                | (35)                | (40)                | (28)                |

(iii) Interest rate risk

Interest rate risks arise from fluctuations in the bank borrowing rates. The interest rates vary from time to time depending on the prevailing economic circumstances. The Group closely monitors the interest rate trends to minimize the potential adverse impact of interest rate changes.

*Interest rate risks – increase / decrease of 1% in net interest margin*

The following sensitivity analysis shows how profit and equity would change if the market risk variables had been different at the end of the reporting period with all other variables held constant.

# WILLIAMSON TEA KENYA LIMITED

## NOTES TO THE FINANCIAL STATEMENTS (Continued)

### 38 FINANCIAL RISK MANAGEMENT (Continued)

#### (iii) Interest rate risk (Continued)

|                               | 2016<br>Sh'000      |                     | 2015<br>Sh'000      |                     |
|-------------------------------|---------------------|---------------------|---------------------|---------------------|
|                               | Effect on<br>profit | Effect on<br>equity | Effect on<br>profit | Effect on<br>equity |
| + 1 percentage point movement | 823                 | 576                 | 705                 | 494                 |
| - 1 percentage point movement | (823)               | (576)               | (705)               | (494)               |
|                               | =====               | =====               | =====               | =====               |

#### Financial risks arising from involvement in agricultural activity

The Group is exposed to financial risks arising from changes in tea prices. The Group reviews its outlook for tea prices regularly in considering the need for active financial risk management. This is achieved through the marketing agent based in the United Kingdom.

### 39 COUNTRY OF INCORPORATION

All the companies in the Group are incorporated and domiciled in Kenya under the Kenyan Companies Act.

### 40 ULTIMATE HOLDING COMPANY

The immediate holding company is Ngong Tea Holdings Limited, a company incorporated in the United Kingdom. The ultimate holding company is George Williamson & Co Limited, a company incorporated in the United Kingdom.

### 41 CURRENCY

These financial statements are presented in Kenya Shillings thousands (Sh'000).